

AN ELEMENTARY
INTRODUCTION TO
MANAGEMENT



KUTUSH KUMAR, KUTUM PAKHI

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TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches An Elementary Introduction to Management one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

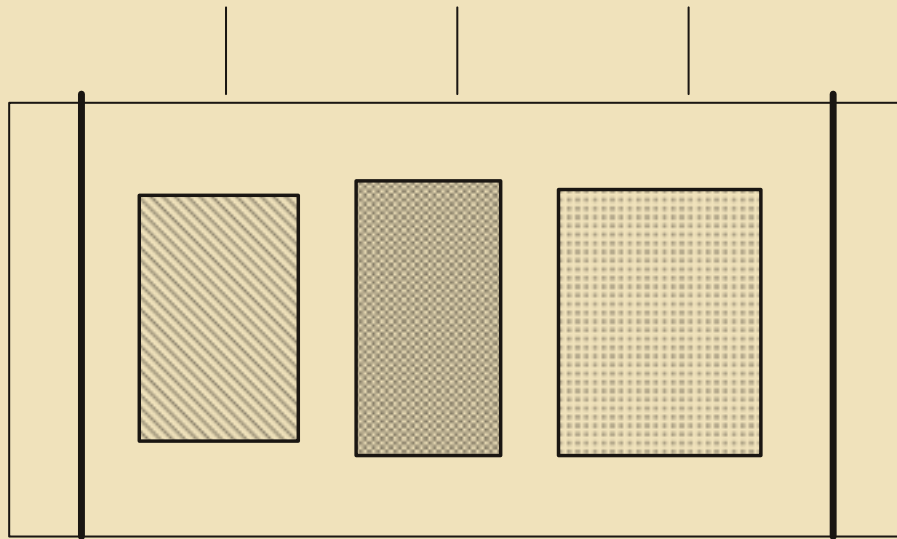
A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.



What Management Is

a bookseller behind a counter among shelves of leather-bound volumes, 1880s

CHAPTER I

What Management Is

*What becomes easier when the manager names the problem
precisely?*



*A first-year reader meets the chapter through a concrete
management question. The ideas move from plain language to
precise terms. The running case supplies recorded facts for
application. The historical case provides a dated context.*

* * *

1.1 WHY ORGANISATIONS NEED MANAGEMENT

The section begins with the practical question behind why organisations need management.

The section covers organisations and their aims purpose of management importance of management as connected parts of one management question.

Organisation gives this paragraph its precise focus.

Organisation. a group of people who work together in a planned way to reach an aim that one person could not reach alone

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Employee gives this paragraph its precise focus.

Employee. a person who is paid by an organisation to do work for it

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Why Organisations Need Management is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of why organisations need management in plain words.

Suppose a manager must deal with why organisations need management. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Organisation** . a group of people who work together in a planned way to reach an aim that one person could not reach alone. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Employee** . a person who is paid by an organisation to do work for it. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

1.2 DEFINING MANAGEMENT

Suppose a manager must deal with defining management. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Management**, the work of using the resources of an organisation to reach its aims, through four connected functions. Management defined The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Manager**, a person who is responsible for the work of other people and for the results of one part of an organisation. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

1.3 RESOURCES AND RESULTS

Suppose a manager must deal with resources and results. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The section begins with the practical question behind defining management.

The section covers management defined as connected parts of one management question.

Management gives this paragraph its precise focus.

Management, the work of using the resources of an organisation to reach its aims, through four connected functions

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Manager gives this paragraph its precise focus.

Manager, a person who is responsible for the work of other people and for the results of one part of an organisation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Defining Management is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of defining management in plain words.

The section begins with the practical question behind resources and results.

The section covers resources a manager uses results as the test of management as connected parts of one management question.

Resource gives this paragraph its precise focus.

Resource. anything an organisation uses to do its work, such as people, money, materials, premises and information

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Management function gives this paragraph its precise focus.

Management function. one main kind of managerial work; there are four, and each has its own chapter in this book

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Resources and Results is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of resources and results in plain words.

The section begins with the practical question behind the management process.

The section covers the four management functions management as a continuing cycle as connected parts of one management question.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Resource** . anything an organisation uses to do its work, such as people, money, materials, premises and information. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Management function** . one main kind of managerial work; there are four, and each has its own chapter in this book. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

1.4 THE MANAGEMENT PROCESS

Suppose a manager must deal with the management process. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Management process** . the continuing cycle in which a manager performs the four management functions again and again. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

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Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

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Management process gives this paragraph its precise focus.

Management process. the continuing cycle in which a manager performs the four management functions again and again

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

The Management Process is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of the management process in plain words.

Why Organisations Need Management is easier to understand when the reader moves from the concrete case to the general rule.

Defining Management is easier to understand when the reader moves from the concrete case to the general rule.

Resources and Results is easier to understand when the reader moves from the concrete case to the general rule.

The Management Process is easier to understand when the reader moves from the concrete case to the general rule.

Why Organisations Need Management is easier to understand when the reader moves from the concrete case to the general rule.

Defining Management is easier to understand when the reader moves from the concrete case to the general rule.

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Why Organisations Need Management is easier to understand when the reader moves from the concrete case to the general rule.

Defining Management is easier to understand when the reader moves from the concrete case to the general rule.

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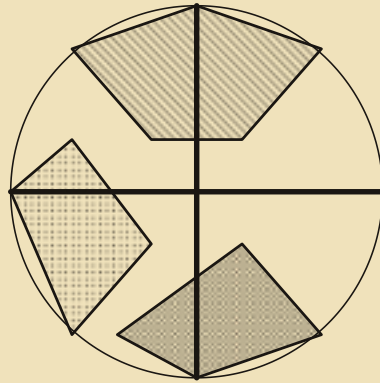
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Resources and Results is easier to understand when the reader moves from the concrete case to the general rule.



the four management functions drawn as a cycle a

FIG. 1.1. the four management functions drawn as a cycle around the resources of an organisation

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, a family-run bookshop in Dhanmondi, Dhaka, founded 3 February 1996 by Harun Meghna (owner). Position at 1 January 2026: 14 people (the owner and 13 employees); shop floor 2,400 square feet; rent Tk 200,000 per month. Results for 2025: sales Tk 18,600,000; profit Tk 1,240,000. Resources at 31 December 2025: people, 14; money, cash reserve Tk 1,500,000; materials, stock held at cost Tk 6,200,000; premises, the rented shop; information, a daily sales ledger and a stock list kept on a spreadsheet. Record of the four functions for 2025: on 8 December 2024 the owner wrote the 2025 sales plan, Tk 19,000,000 (planning); on 2 January 2025 he assigned each product section to a section leader (organising); a staff meeting was held every Monday at 9:30 (leading); sales were compared with the plan at the end of each month (controlling). Outcome: sales Tk 18,600,000 against the plan of Tk 19,000,000.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

* * *

The chapter joins its definitions, examples and limits into one management framework.

These questions ask for application rather than a memorised phrase.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The history is evidence for a management question, not a replacement for the general rule.

Historical evidence needs its original setting before it is applied to a modern organisation.

The final questions return to the chapter's definitions and applications.

SUMMARY

The chapter began with what management is. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

THINK IT THROUGH

01.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

01.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

IN HISTORY

The chapter's historical case concerns Josiah Wedgwood's pottery works at Etruria, Staffordshire, opened 1769: planned division of work, set standards and close checking of quality under one managing owner. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

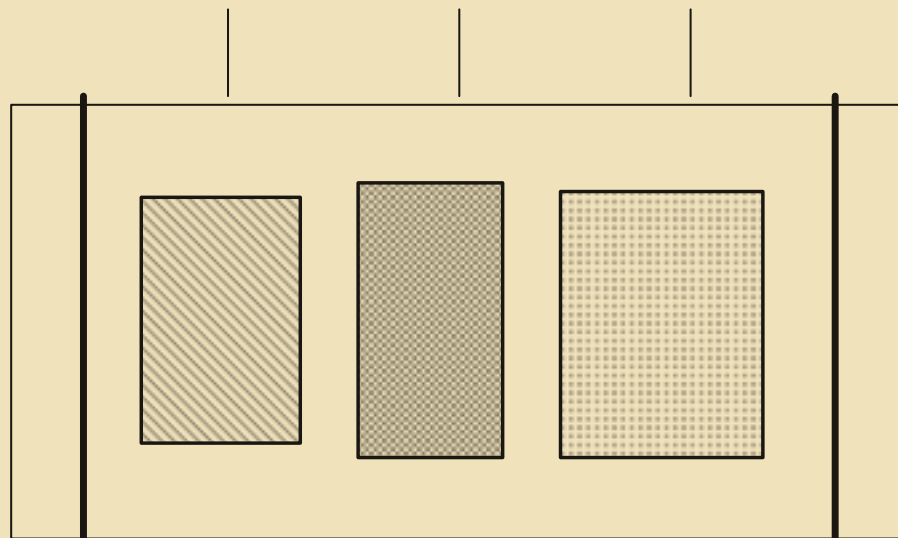
The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

REVIEW QUESTIONS

01.1 In your own words, what is the central management idea of this chapter?

01.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 01.P1 What fact or condition should be checked before applying the chapter's main rule?



Managers: Levels, Skills and Standing

a foreman, a manager and a proprietor in three connected offices of a mill, 1870s

CHAPTER II

Managers: Levels, Skills and Standing

*What becomes easier when the manager names the problem
precisely?*



*A first-year reader meets the chapter through a concrete
management question. The ideas move from plain language to
precise terms. The running case supplies recorded facts for
application. The historical case provides a dated context.*

* * *

2.1 LEVELS AND TYPES OF MANAGERS

The section begins with the practical question behind levels and types of managers.

The section covers three levels of managers functional and general managers as connected parts of one management question.

Top manager gives this paragraph its precise focus.

Top manager. a manager at the highest level, who sets the direction and is responsible for the whole organisation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Middle manager gives this paragraph its precise focus.

Middle manager. a manager between top managers and first-line managers, who turns the direction into plans for one part of the organisation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

First-line manager gives this paragraph its precise focus.

First-line manager. a manager at the lowest level, who directs employees who do the daily work and does not manage other managers

The definition connects the term to a concrete management fact.

Suppose a manager must deal with levels and types of managers. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Top manager** . a manager at the highest level, who sets the direction and is responsible for the whole organisation. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Middle manager** . a manager between top managers and first-line managers, who turns the direction into plans for one part of the organisation. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **First-line manager** . a manager at the lowest level, who directs employees who do the daily work and does not manage other managers. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

2.2 SKILLS MANAGERS NEED

Suppose a manager must deal with skills managers need. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Functional manager** . a manager responsible for one kind of work, such as buying or accounts, across the organisation. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **General manager** . a manager responsible for all the kinds of work of a unit, such as a branch. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Levels and Types of Managers is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of levels and types of managers in plain words.

The section begins with the practical question behind skills managers need.

The section covers technical, human and conceptual skills in the classic and the contemporary view as connected parts of one management question.

Functional manager gives this paragraph its precise focus.

Functional manager. a manager responsible for one kind of work, such as buying or accounts, across the organisation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

General manager gives this paragraph its precise focus.

General manager. a manager responsible for all the kinds of work of a unit, such as a branch

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Technical skill gives this paragraph its precise focus.

Technical skill. the ability to use the methods, tools and knowledge of a particular kind of work

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Skills Managers Need is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of skills managers need in plain words.

At the centre of the discussion is **Technical skill** . the ability to use the methods, tools and knowledge of a particular kind of work. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

2.3 PRODUCTIVITY, EFFECTIVENESS AND EFFICIENCY

The section begins with the practical question behind productivity, effectiveness and efficiency.

The section covers telling productivity, effectiveness and efficiency apart as connected parts of one management question.

Human skill gives this paragraph its precise focus.

Human skill. the ability to work with other people, understand them and get good work from them

The definition connects the term to a concrete management fact.

Suppose a manager must deal with productivity, effectiveness and efficiency. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Human skill** . the ability to work with other people, understand them and get good work from them. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Conceptual skill** . the ability to see the organisation as a whole and to understand how its parts affect one another. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Productivity** . the amount of output produced for a given amount of input, such as sales for each employee. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

2.4 SCIENCE, ART OR PROFESSION

Suppose a manager must deal with science, art or profession. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Effectiveness** . the degree to which an organisation reaches the aims it has set. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term

The term is useful when its meaning is tested against evidence and its limits are recognised.

Conceptual skill gives this paragraph its precise focus.

Conceptual skill. the ability to see the organisation as a whole and to understand how its parts affect one another

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Productivity gives this paragraph its precise focus.

Productivity. the amount of output produced for a given amount of input, such as sales for each employee

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Productivity, Effectiveness and Efficiency is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of productivity, effectiveness and efficiency in plain words.

The section begins with the practical question behind science, art or profession.

The section covers management as a science management as an art management as a profession as connected parts of one management question.

Effectiveness gives this paragraph its precise focus.

Effectiveness. the degree to which an organisation reaches the aims it has set

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Efficiency gives this paragraph its precise focus.

Efficiency. the use of as few resources as possible to obtain a given result

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Profession gives this paragraph its precise focus.

Profession. an occupation that requires long study, follows a code of conduct and can be entered only by meeting set standards

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Science, Art or Profession is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of science, art or profession in plain words.

Levels and Types of Managers is easier to understand when the reader moves from the concrete case to the general rule.

Skills Managers Need is easier to understand when the reader moves from the concrete case to the general rule.

does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Efficiency** . the use of as few resources as possible to obtain a given result. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Profession** . an occupation that requires long study, follows a code of conduct and can be entered only by meeting set standards. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

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Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

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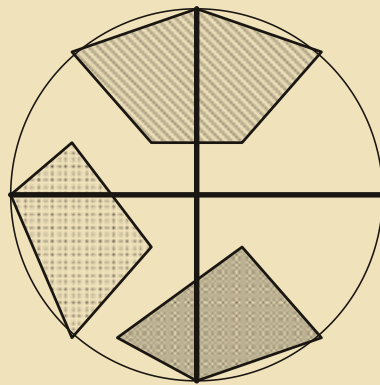
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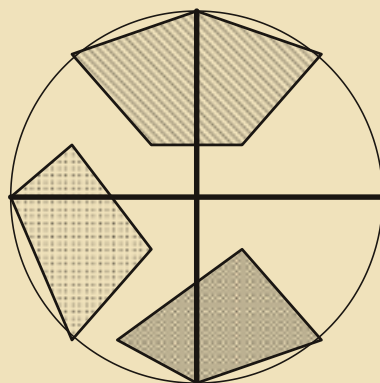
Productivity, Effectiveness and Efficiency is easier to understand when the reader moves from the concrete case to the general rule.

Science, Art or Profession is easier to understand when the reader moves from the concrete case to the general rule.



three levels of managers drawn as a triangle wit

FIG. 2.1. *three levels of managers drawn as a triangle with the skill mix at each level*



productivity, effectiveness and efficiency shown

FIG. 2.2. *productivity, effectiveness and efficiency shown side by side as inputs, outputs and aims*

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

The chapter joins its definitions, examples and limits into one management framework.

These questions ask for application rather than a memorised phrase.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

The historical case gives a dated setting in which the chapter's ideas can be examined.

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna. Structure at 1 January 2026 (14 people): top level, the owner; middle level, three managers (Imran Meghna, purchasing; Nasrin Akter, shop floor; Rubel Hossain, accounts); first level, four section leaders (school books, general books, stationery, orders and parcels); six shop assistants. Sales: 2024 Tk 17,100,000 with 13 people; 2025 Tk 18,600,000 with 14 people. Sales for each person: 2024 Tk 1,315,385; 2025 Tk 1,328,571. Plan for 2025: Tk 19,000,000; achieved Tk 18,600,000, which is 97.9% of the plan. Unsold stock written off: 2024 Tk 310,000 (1.8% of sales); 2025 Tk 186,000 (1.0% of sales). Skill record for 2025: Imran judged which titles would sell (technical); Nasrin arranged shift rotas that all employees accepted (human); the owner decided on 8 December 2024 how the three sections and the accounts fit one plan (conceptual).

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter began with managers: levels, skills and standing. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

THINK IT THROUGH

02.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

02.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

IN HISTORY

The chapter's historical case concerns Robert L. Katz, 'Skills of an Effective Administrator', Harvard Business Review, 1955: the three-skill view, drawn from his observation of managers. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

The history is evidence for a management question, not a replacement for the general rule.

SOURCES

The named works and historical sources in the catalogue entry provide fuller context. The chapter uses brief attribution and avoids long quotations so that the main explanation remains readable.

Historical evidence needs its original setting before it is applied to a modern organisation.

The chapter keeps its source trail short and tied to the ideas it defines.

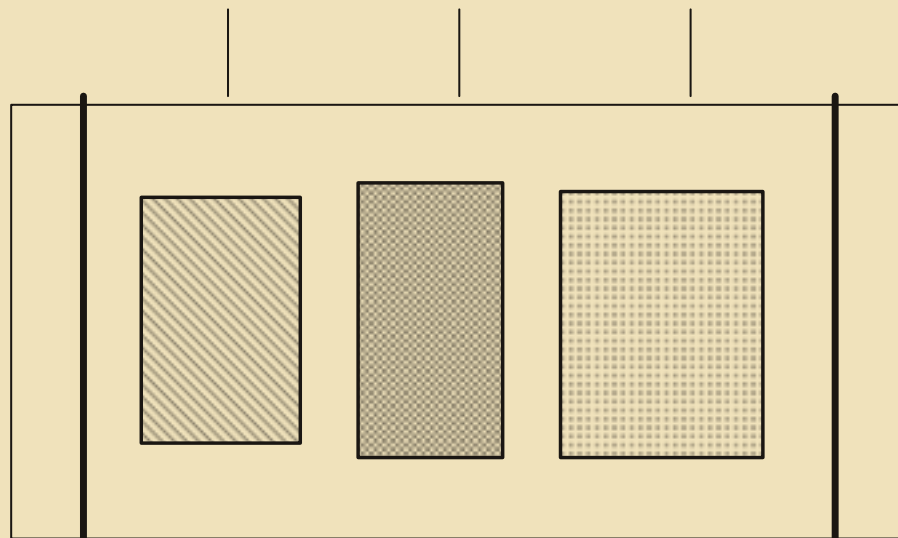
REVIEW QUESTIONS

02.1 In your own words, what is the central management idea of this chapter?

The final questions return to the chapter's definitions and applications.

02.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 02.P1 What fact or condition should be checked before applying the chapter's main rule?



How Management Thought Developed

a mill floor with a timekeeper holding a pocket watch beside a loom, 1880s

CHAPTER III

How Management Thought Developed

*What becomes easier when the manager names the problem
precisely?*



*A first-year reader meets the chapter through a concrete
management question. The ideas move from plain language to
precise terms. The running case supplies recorded facts for
application. The historical case provides a dated context.*

* * *

3.1 EARLY IDEAS AND SCIENTIFIC MANAGEMENT

The section begins with the practical question behind early ideas and scientific management.

The section covers why early industry needed new methods scientific management as connected parts of one management question.

Scientific management gives this paragraph its precise focus.

Scientific management. a method that studies each task by measurement, finds the best way to do it and trains employees in that way

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Time study gives this paragraph its precise focus.

Time study. the careful timing of each step of a task to find out how long the work should take

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Administrative management gives this paragraph its precise focus.

Administrative management. a view that studies the whole organisation and seeks general principles for managing it

The definition connects the term to a concrete management fact.

Suppose a manager must deal with early ideas and scientific management. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Scientific management** . a method that studies each task by measurement, finds the best way to do it and trains employees in that way. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Time study** . the careful timing of each step of a task to find out how long the work should take. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Administrative management** . a view that studies the whole organisation and seeks general principles for managing it. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

3.2 FAYOL AND ADMINISTRATIVE PRINCIPLES

Suppose a manager must deal with fayol and administrative principles. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Principle of management** . a general guide to good managing, which is tested by use and is not a law of nature. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Division of work** . the splitting of a large task into smaller tasks, each done by one person or group. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Early Ideas and Scientific Management is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of early ideas and scientific management in plain words.

The section begins with the practical question behind fayol and administrative principles.

The section covers fayol's administrative principles as connected parts of one management question.

Principle of management gives this paragraph its precise focus.

Principle of management. a general guide to good managing, which is tested by use and is not a law of nature

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Division of work gives this paragraph its precise focus.

Division of work. the splitting of a large task into smaller tasks, each done by one person or group

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Unity of command gives this paragraph its precise focus.

Unity of command. the rule that each employee receives orders from one manager only

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Fayol and Administrative Principles is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of fayol and administrative principles in plain words.

At the centre of the discussion is **Unity of command** . the rule that each employee receives orders from one manager only. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

3.3 HUMAN RELATIONS AND BEHAVIOURAL THOUGHT

The section begins with the practical question behind human relations and behavioural thought.

The section covers human relations and behavioural thought as connected parts of one management question.

Scalar chain gives this paragraph its precise focus.

Scalar chain. the line of authority from the top of an organisation down to the lowest level

The definition connects the term to a concrete management fact.

Suppose a manager must deal with human relations and behavioural thought. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Scalar chain** . the line of authority from the top of an organisation down to the lowest level. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Human relations approach** . a view that output depends on the needs, feelings and groups of employees as well as on methods. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Behavioural approach** . the study of how individuals and groups act at work, using methods from psychology and sociology. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

3.4 MANAGEMENT SCIENCE, SYSTEMS AND CONTINGENCY

Suppose a manager must deal with management science, systems and contingency. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Human relations approach gives this paragraph its precise focus.

Human relations approach. a view that output depends on the needs, feelings and groups of employees as well as on methods

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Behavioural approach gives this paragraph its precise focus.

Behavioural approach. the study of how individuals and groups act at work, using methods from psychology and sociology

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Human Relations and Behavioural Thought is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of human relations and behavioural thought in plain words.

The section begins with the practical question behind management science, systems and contingency.

The section covers management science approach systems approach contingency approach as connected parts of one management question.

Management science approach gives this paragraph its precise focus.

Management science approach. the use of mathematical models and measured data to solve managerial problems

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

System gives this paragraph its precise focus.

System. a set of connected parts that work together and receive inputs from, and give outputs to, their surroundings

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Contingency approach gives this paragraph its precise focus.

Contingency approach. the view that the best way to manage depends on the situation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Management Science, Systems and Contingency is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of management science, systems and contingency in plain words.

Early Ideas and Scientific Management is easier to understand when the reader moves from the concrete case to the general rule.

At the centre of the discussion is **Management science approach** . the use of mathematical models and measured data to solve managerial problems. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **System** . a set of connected parts that work together and receive inputs from, and give outputs to, their surroundings. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Contingency approach** . the view that the best way to manage depends on the situation. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

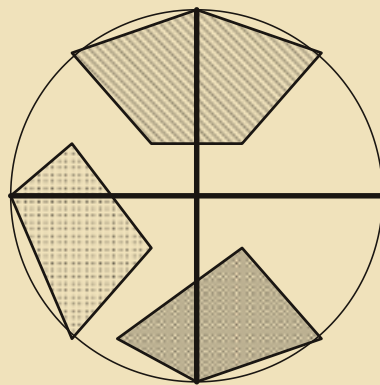
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Fayol and Administrative Principles is easier to understand when the reader moves from the concrete case to the general rule.

Human Relations and Behavioural Thought is easier to understand when the reader moves from the concrete case to the general rule.



a timeline of five approaches to managing, with

FIG. 3.1. a timeline of five approaches to managing, with the period of each and its main idea

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna; 13 employees and the owner at 1 December 2025. Time study of 10 November 2025 (by Imran Meghna): packing a parcel of three books, ten parcels timed for each of three methods; averages per parcel: method A 9 minutes, method B 7 minutes, method C 6 minutes. Method C was adopted on 1 December 2025; the orders and parcels section packs 40 parcels each day, so the saving is 3 minutes $\times$ 40 = 120 minutes each day against method A. Conflicting orders on 15 December 2025: a shop assistant received different orders from the stationery section leader and from the shop floor manager at the same time; shelving of 300 items was delayed by 2 hours; from 16 December 2025 each assistant receives orders from one section leader only. Reorder rule of 20 December 2025 (Rubel Hossain): a school notebook sells 60 a day and delivery takes 5 days, so the shop reorders when stock falls to 300 notebooks. The same rule is not used in the January rush, when daily sales are higher.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

* * *

The chapter joins its definitions, examples and limits into one management framework.

These questions ask for application rather than a memorised phrase.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The history is evidence for a management question, not a replacement for the general rule.

Historical evidence needs its original setting before it is applied to a modern organisation.

The chapter keeps its source trail short and tied to the ideas it defines.

The final questions return to the chapter's definitions and applications.

SUMMARY

The chapter began with how management thought developed. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

THINK IT THROUGH

03.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

03.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

IN HISTORY

The chapter's historical case concerns Frederick W. Taylor's work at Bethlehem Steel, Pennsylvania, 1898 to 1901, on handling pig iron and on shovelling, and the criticism it met; use only facts that sources agree on and date every figure. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

SOURCES

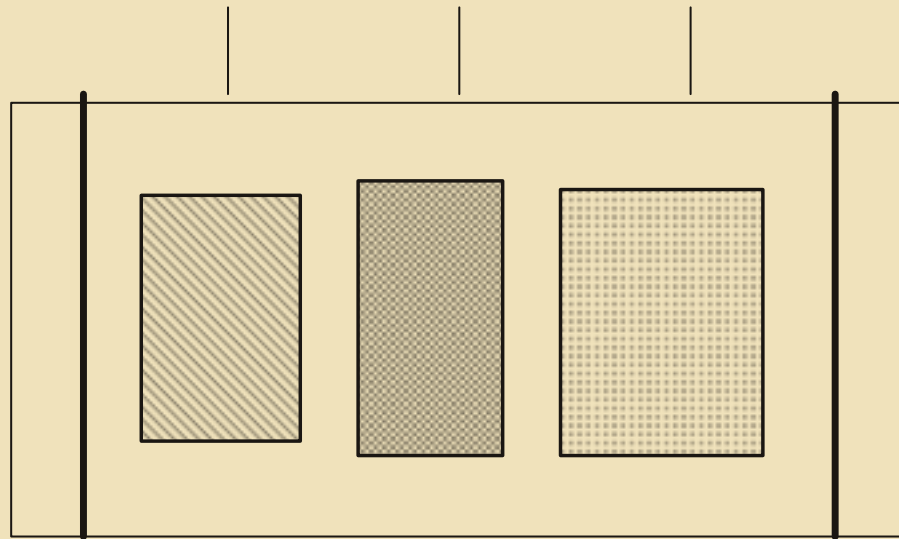
The named works and historical sources in the catalogue entry provide fuller context. The chapter uses brief attribution and avoids long quotations so that the main explanation remains readable.

REVIEW QUESTIONS

03.1 In your own words, what is the central management idea of this chapter?

03.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 03.P1 What fact or condition should be checked before applying the chapter's main rule?



Environment, Ethics and Social Responsibility

a harbour quay with ships, warehouses and a weather vane, 1870s

CHAPTER IV

Environment, Ethics and Social Responsibility

What becomes easier when the manager names the problem precisely?



A first-year reader meets the chapter through a concrete management question. The ideas move from plain language to precise terms. The running case supplies recorded facts for application. The historical case provides a dated context.

* * *

4.1 INTERNAL AND EXTERNAL ENVIRONMENT

The section begins with the practical question behind internal and external environment.

The section covers environment of an organisation internal and external environment compared as connected parts of one management question.

Environment gives this paragraph its precise focus.

Environment. all the forces, inside and outside an organisation, that can affect how it works and what it achieves

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Internal environment gives this paragraph its precise focus.

Internal environment. the people, structure, rules and resources inside an organisation that a manager can change directly

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

External environment gives this paragraph its precise focus.

External environment. the forces outside an organisation that affect it and that a manager cannot control directly

The definition connects the term to a concrete management fact.

Suppose a manager must deal with internal and external environment. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Environment**. all the forces, inside and outside an organisation, that can affect how it works and what it achieves. Environment of an organisation The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Internal environment**. the people, structure, rules and resources inside an organisation that a manager can change directly. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **External environment**. the forces outside an organisation that affect it and that a manager cannot control directly. Internal and external environment compared The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

4.2 FORCES IN THE EXTERNAL ENVIRONMENT

Suppose a manager must deal with forces in the external environment. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Economic force** . a condition of money, prices, income and trade that affects an organisation. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Social force** . a change in the habits, values, numbers or beliefs of people that affects an organisation. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Internal and External Environment is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of internal and external environment in plain words.

The section begins with the practical question behind forces in the external environment.

The section covers economic, social, political, legal and technological forces as connected parts of one management question.

Economic force gives this paragraph its precise focus.

Economic force. a condition of money, prices, income and trade that affects an organisation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Social force gives this paragraph its precise focus.

Social force. a change in the habits, values, numbers or beliefs of people that affects an organisation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Political and legal force gives this paragraph its precise focus.

Political and legal force. a government decision, law or rule that affects what an organisation may or must do

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Forces in the External Environment is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of forces in the external environment in plain words.

At the centre of the discussion is **Political and legal force** . a government decision, law or rule that affects what an organisation may or must do. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

4.3 MANAGING AND ADAPTING TO THE ENVIRONMENT

The section begins with the practical question behind managing and adapting to the environment.

The section covers scanning the environment responding and adapting as connected parts of one management question.

Technological force gives this paragraph its precise focus.

Technological force. a new tool, machine or method that changes how work is done or what is sold

The definition connects the term to a concrete management fact.

Suppose a manager must deal with managing and adapting to the environment. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Technological force** . a new tool, machine or method that changes how work is done or what is sold. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Environmental scanning** . the steady collection and study of information about outside forces so that changes are seen early. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Stakeholder** . a person or group affected by what an organisation does, such as owners, employees, customers and neighbours. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

4.4 SOCIAL RESPONSIBILITY AND SUSTAINABILITY

Suppose a manager must deal with social responsibility and sustainability. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Environmental scanning gives this paragraph its precise focus.

Environmental scanning, the steady collection and study of information about outside forces so that changes are seen early

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Stakeholder gives this paragraph its precise focus.

Stakeholder, a person or group affected by what an organisation does, such as owners, employees, customers and neighbours

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Managing and Adapting to the Environment is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of managing and adapting to the environment in plain words.

The section begins with the practical question behind social responsibility and sustainability.

The section covers social responsibility and stakeholders davis's view of responsibility and power sustainability as connected parts of one management question.

Corporate social responsibility gives this paragraph its precise focus.

Corporate social responsibility. the duty of an organisation to act for the good of society as well as for its own gain

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Sustainability gives this paragraph its precise focus.

Sustainability. the use of resources in a way that does not harm the ability of later generations to meet their needs

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Business ethics gives this paragraph its precise focus.

Business ethics. the standards of right and wrong that guide how an organisation and its managers behave

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Social Responsibility and Sustainability is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of social responsibility and sustainability in plain words.

At the centre of the discussion is **Corporate social responsibility** . the duty of an organisation to act for the good of society as well as for its own gain. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Sustainability** . the use of resources in a way that does not harm the ability of later generations to meet their needs. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Business ethics** . the standards of right and wrong that guide how an organisation and its managers behave. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

4.5 BUSINESS ETHICS

Suppose a manager must deal with business ethics. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions

The section begins with the practical question behind business ethics.

under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

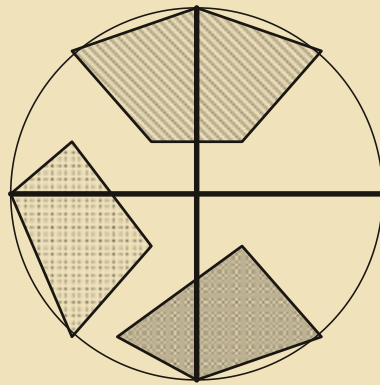
Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

The section covers ethics in business ethical conduct and ethical codes as connected parts of one management question.

Business Ethics is easier to understand when the reader moves from the concrete case to the general rule.

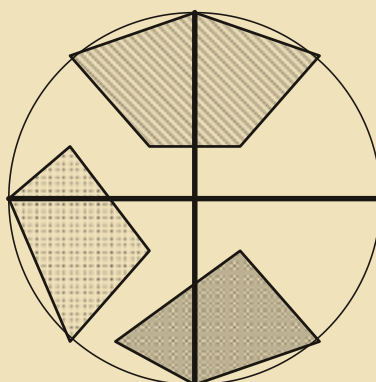
Before moving on, the reader should be able to state the main point of business ethics in plain words.

* * *



an organisation drawn inside two rings: the inte

FIG. 4.1. an organisation drawn inside two rings: the internal environment and the external forces around it



the groups of stakeholders drawn around one orga

FIG. 4.2. the groups of stakeholders drawn around one organisation, with what each expects

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

The chapter joins its definitions, examples and limits into one management framework.

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna; 2025 profit Tk 1,240,000; 13 employees and the owner. Economic: paper cost rose 12% between 1 July 2025 and 1 January 2026; a notebook that cost Tk 80 now costs Tk 89.60; the shop raised the selling price from Tk 100 to Tk 108 (8%) on 1 January 2026. Political and legal: the shop recorded on 15 December 2025 that a revised school curriculum is announced for the 2027 school year, which means new titles for school books. Social: in December 2025, 3 of every 10 customer enquiries (30%) asked for home delivery. Technological: mobile payment was introduced on 1 October 2025; in December 2025, 22% of sales were paid this way. Social responsibility: on 15 January 2026 the shop gave 2% of the 2025 profit, Tk 24,800, to a school library. Sustainability: from 1 March 2026 paper bags replace plastic bags; 30,000 bags are used in a year; a plastic bag costs Tk 1.50 and a paper bag Tk 4.00; the extra cost is Tk 75,000 a year. Ethics: on 11 November 2025 a distributor offered Imran Meghna a personal cash payment of Tk 40,000 for placing a larger order; he refused and reported it to the owner the same day.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter began with environment, ethics and social responsibility. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

THINK IT THROUGH

04.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

These questions ask for application rather than a memorised phrase.

04.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

IN HISTORY

The chapter's historical case concerns The collapse of the Rana Plaza building in Savar, Bangladesh, on 24 April 2013, and the Accord on Fire and Building Safety in Bangladesh, signed from 15 May 2013: a case of social responsibility in a supply chain. Use only dated, widely reported facts and avoid figures that sources dispute. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

The history is evidence for a management question, not a replacement for the general rule.

SOURCES

The named works and historical sources in the catalogue entry provide fuller context. The chapter uses brief attribution and avoids long quotations so that the main explanation remains readable.

Historical evidence needs its original setting before it is applied to a modern organisation.

The chapter keeps its source trail short and tied to the ideas it defines.

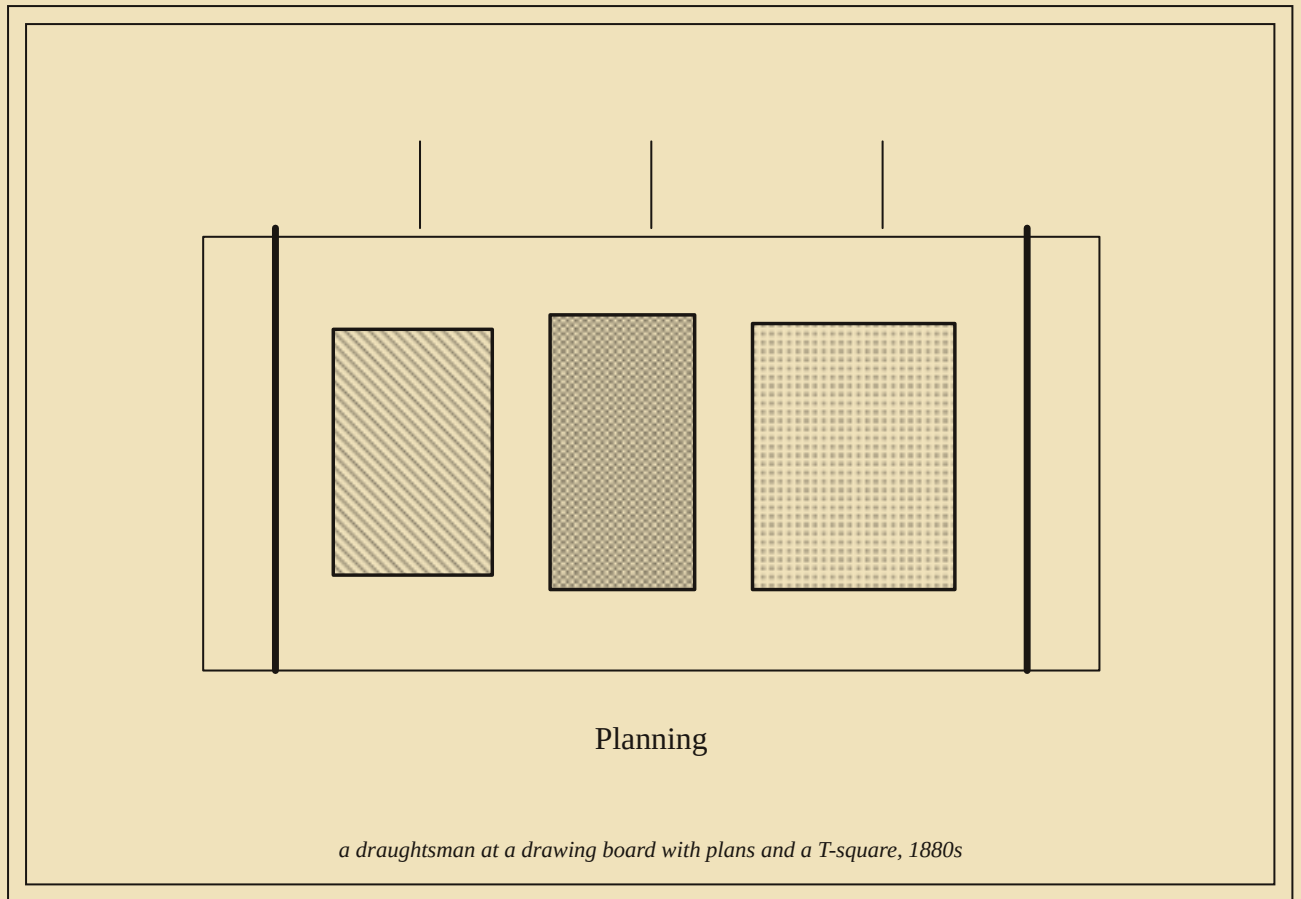
REVIEW QUESTIONS

04.1 In your own words, what is the central management idea of this chapter?

The final questions return to the chapter's definitions and applications.

04.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 04.P1 What fact or condition should be checked before applying the chapter's main rule?



CHAPTER V

Planning

What becomes easier when the manager names the problem precisely?



A first-year reader meets the chapter through a concrete management question. The ideas move from plain language to precise terms. The running case supplies recorded facts for application. The historical case provides a dated context.

* * *

5.1 MEANING, NATURE AND PURPOSE

The section begins with the practical question behind meaning, nature and purpose.

The section covers what planning is nature of planning purposes of planning as connected parts of one management question.

Planning gives this paragraph its precise focus.

Planning. choosing in advance what the organisation will do and how it will do it

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Plan gives this paragraph its precise focus.

Plan. a written or agreed description of what is to be done, by whom, by when and with what resources

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Planning premise gives this paragraph its precise focus.

Planning premise. an assumption about the future conditions under which a plan will be carried out

The definition connects the term to a concrete management fact.

Suppose a manager must deal with meaning, nature and purpose. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Planning** . choosing in advance what the organisation will do and how it will do it. What planning is The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Plan** . a written or agreed description of what is to be done, by whom, by when and with what resources. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Planning premise** . an assumption about the future conditions under which a plan will be carried out. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

5.2 TYPES OF PLANS

Suppose a manager must deal with types of plans. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Standing plan** . a plan made once and used again and again for situations that recur. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Single-use plan** . a plan made for one occasion or project that is not used again in the same form. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Policy** . a standing plan that gives a general guide for decisions without fixing the exact action. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Meaning, Nature and Purpose is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of meaning, nature and purpose in plain words.

The section begins with the practical question behind types of plans.

The section covers standing plans and single-use plans as connected parts of one management question.

Standing plan gives this paragraph its precise focus.

Standing plan. a plan made once and used again and again for situations that recur

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Single-use plan gives this paragraph its precise focus.

Single-use plan. a plan made for one occasion or project that is not used again in the same form

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Policy gives this paragraph its precise focus.

Policy. a standing plan that gives a general guide for decisions without fixing the exact action

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Types of Plans is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of types of plans in plain words.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

5.3 THE PLANNING PROCESS

The section begins with the practical question behind the planning process.

The section covers planning premises steps of the planning process as connected parts of one management question.

Procedure gives this paragraph its precise focus.

Procedure. a standing plan that sets out the steps to be followed for a recurring task, in order

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Rule gives this paragraph its precise focus.

Rule. a standing plan that requires or forbids one specific action, with no choice

The definition connects the term to a concrete management fact.

Suppose a manager must deal with the planning process. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Procedure** . a standing plan that sets out the steps to be followed for a recurring task, in order. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Rule** . a standing plan that requires or forbids one specific action, with no choice. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Programme** . a single-use plan that sets out the steps, order, timing and resources for a set of related tasks. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

5.4 LIMITS AND EFFECTIVENESS

Suppose a manager must deal with limits and effectiveness. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Budget** . a plan stated in money, or in other numbers, for a period of time. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Programme gives this paragraph its precise focus.

Programme. a single-use plan that sets out the steps, order, timing and resources for a set of related tasks

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

The Planning Process is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of the planning process in plain words.

The section begins with the practical question behind limits and effectiveness.

The section covers limits of planning and why plans fail making planning effective as connected parts of one management question.

Budget gives this paragraph its precise focus.

Budget. a plan stated in money, or in other numbers, for a period of time

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Limits and Effectiveness is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of limits and effectiveness in plain words.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

Meaning, Nature and Purpose is easier to understand when the reader moves from the concrete case to the general rule.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Types of Plans is easier to understand when the reader moves from the concrete case to the general rule.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

The Planning Process is easier to understand when the reader moves from the concrete case to the general rule.

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Limits and Effectiveness is easier to understand when the reader moves from the concrete case to the general rule.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Meaning, Nature and Purpose is easier to understand when the reader moves from the concrete case to the general rule.

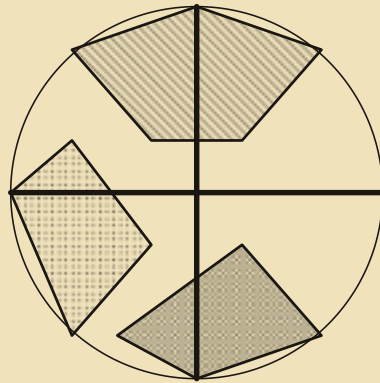
The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Types of Plans is easier to understand when the reader moves from the concrete case to the general rule.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

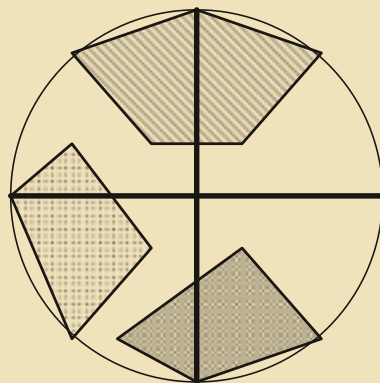
The Planning Process is easier to understand when the reader moves from the concrete case to the general rule.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.



the steps of the planning process in order, with

FIG. 5.1. *the steps of the planning process in order, with the feedback line from review back to the premises*



standing plans and single-use plans shown as two

FIG. 5.2. *standing plans and single-use plans shown as two branches with their parts*

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna. Planning meeting of 6 January 2026. Result for 2025: sales Tk 18,600,000. Sales objective for 2026: Tk 20,460,000, which is 10% above 2025. Premises recorded: paper cost up 12% between 1 July 2025 and 1 January 2026; school enrolment unchanged; rent unchanged at Tk 200,000 per month; employee pay up 5% from 1 January 2026, so yearly pay for the 13 employees rises from Tk 5,100,000 to Tk 5,355,000. Alternatives listed: longer opening hours; online ordering; a second branch; no change. Online ordering and the second branch were carried forward for study. Standing plans in use: policy, books in good condition are exchanged within 7 days; procedure, four steps for receiving new stock; rule, no stock leaves the shop without a record. Single-use plan: the January school-term rush programme of 1 to 31 January 2026, with extra stock of Tk 900,000 ordered on 10 December 2025. A failed

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

The chapter joins its definitions, examples and limits into one management framework.

These questions ask for application rather than a memorised phrase.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The history is evidence for a management question, not a replacement for the general rule.

Historical evidence needs its original setting before it is applied to a modern organisation.

The final questions return to the chapter's definitions and applications.

plan of 2024: 1,200 copies of one guide book were ordered on the premise that the school curriculum would not change; it was revised three months later; 400 copies sold; 800 unsold copies at Tk 180 each, Tk 144,000, were written off.

Situation. Identify the recorded facts. **Question.** Select the relevant chapter concepts. **Reasoning.** Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. **Conclusion.** State only what the facts support. **Check.** Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter began with planning. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

THINK IT THROUGH

05.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

05.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

IN HISTORY

The chapter's historical case concerns Eastman Kodak: its engineer Steven Sasson built a digital camera in 1975, the company's plans kept its film business at the centre, and Kodak filed for bankruptcy protection on 19 January 2012. Use only dated facts that sources agree on. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

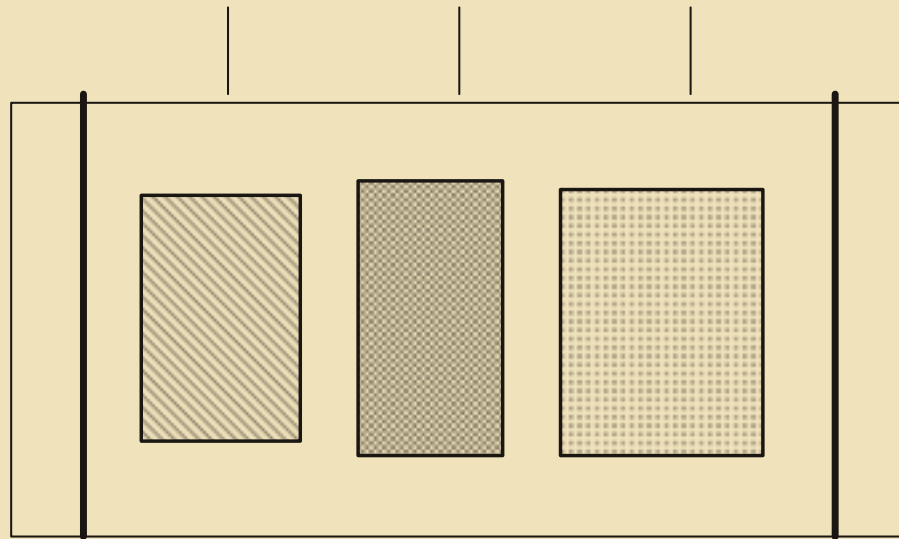
The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

REVIEW QUESTIONS

05.1 In your own words, what is the central management idea of this chapter?

05.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 05.P1 What fact or condition should be checked before applying the chapter's main rule?



Objectives and Management by Objectives

a surveyor sighting through a theodolite toward a distant flag, 1870s

CHAPTER VI

Objectives and Management by Objectives

What becomes easier when the manager names the problem precisely?



A first-year reader meets the chapter through a concrete management question. The ideas move from plain language to precise terms. The running case supplies recorded facts for application. The historical case provides a dated context.

* * *

6.1 NATURE OF OBJECTIVES

The section begins with the practical question behind nature of objectives.

The section covers what an objective is hierarchy of objectives as connected parts of one management question.

Objective gives this paragraph its precise focus.

Objective. a result, stated directly and with a time limit, that an organisation or person aims to reach

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Hierarchy of objectives gives this paragraph its precise focus.

Hierarchy of objectives. the arrangement of objectives from the whole organisation down to departments and individuals, each supporting the one above

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Nature of Objectives is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of nature of objectives in plain words.

Suppose a manager must deal with nature of objectives. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Objective** . a result, stated directly and with a time limit, that an organisation or person aims to reach. What an objective is The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Hierarchy of objectives** . the arrangement of objectives from the whole organisation down to departments and individuals, each supporting the one above. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

6.2 SETTING OBJECTIVES

Suppose a manager must deal with setting objectives. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Key area** . one of the main parts of an organisation where results must be set because they decide its success. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Management by objectives** . a way of managing in which managers and employees agree objectives together and judge performance against them. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

6.3 THE MBO CYCLE

Suppose a manager must deal with the mbo cycle. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under

The section begins with the practical question behind setting objectives.

The section covers setting objectives: the qualities of a good one eight key areas for objectives as connected parts of one management question.

Key area gives this paragraph its precise focus.

Key area. one of the main parts of an organisation where results must be set because they decide its success

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Management by objectives gives this paragraph its precise focus.

Management by objectives. a way of managing in which managers and employees agree objectives together and judge performance against them

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Setting Objectives is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of setting objectives in plain words.

The section begins with the practical question behind the mbo cycle.

The section covers management by objectives defined the cycle of management by objectives as connected parts of one management question.

Performance review gives this paragraph its precise focus.

Performance review. a meeting held at a set time to compare results with objectives and to agree what to do next

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Participation gives this paragraph its precise focus.

Participation. the sharing of a decision between a manager and the employees who must carry it out

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

The MBO Cycle is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of the mbo cycle in plain words.

which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Performance review** . a meeting held at a set time to compare results with objectives and to agree what to do next. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Participation** . the sharing of a decision between a manager and the employees who must carry it out. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

6.4 BENEFITS AND WEAKNESSES OF MBO

The section begins with the practical question behind benefits and weaknesses of mbo.

The section covers benefits and weaknesses of management by objectives as connected parts of one management question.

Suppose a manager must deal with benefits and weaknesses of mbo. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting;

the general explanation supplies the rule. Neither should be read without the other.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

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Benefits and Weaknesses of MBO is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of benefits and weaknesses of mbo in plain words.

Nature of Objectives is easier to understand when the reader moves from the concrete case to the general rule.

Setting Objectives is easier to understand when the reader moves from the concrete case to the general rule.

The MBO Cycle is easier to understand when the reader moves from the concrete case to the general rule.

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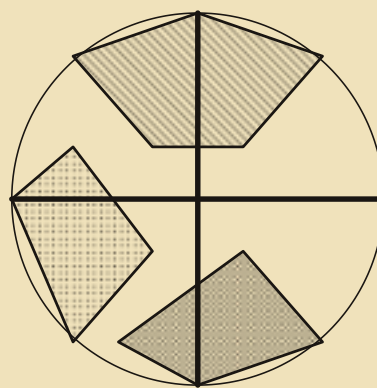
The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

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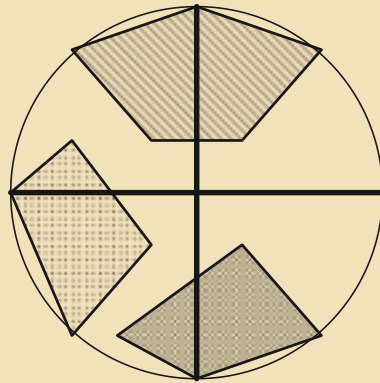
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the hierarchy of objectives from the whole organ

FIG. 6.1. the hierarchy of objectives from the whole organisation down to one employee



the cycle of management by objectives as a loop

FIG. 6.2. the cycle of management by objectives as a loop of five steps

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna; objectives set on 7 January 2026 for the year to 31 December 2026, in eight key areas. Base figures for 2025: sales Tk 18,600,000; school books 60% of sales, Tk 11,160,000; profit Tk 1,240,000; unsold stock written off Tk 186,000; cash reserve Tk 1,500,000; 2 of 13 employees left in 2025 (15.4%); gift to a school library Tk 24,800 (2% of profit). Objectives: market standing, school-book sales to Tk 12,276,000 (10% more); innovation, decide on online ordering by 31 January 2026 and, if approved, begin by 30 June 2026; productivity, stock written off below Tk 150,000; physical and financial resources, cash reserve to Tk 1,800,000; profitability, profit Tk 1,500,000; manager performance and development, each of the 3 managers completes one training course by 30 November 2026; employee performance and attitude, at most 1 of 13 employees leaves in 2026 (7.7%); public responsibility, a gift of 2% of 2026 profit, Tk 30,000. Cycle: objectives agreed with each manager by 15 January 2026; review on 30 June 2026 and on 31 December 2026. Record of a weakness: by 15 January 2026 the sales objective had been written in full for every manager and the service objective for none.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter began with objectives and management by objectives. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

The chapter joins its definitions, examples and limits into one management framework.

These questions ask for application rather than a memorised phrase.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The history is evidence for a management question, not a replacement for the general rule.

Historical evidence needs its original setting before it is applied to a modern organisation.

The chapter keeps its source trail short and tied to the ideas it defines.

The final questions return to the chapter's definitions and applications.

THINK IT THROUGH

06.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

06.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

IN HISTORY

The chapter's historical case concerns Peter F. Drucker, *The Practice of Management* (1954), which named management by objectives, and the objectives that Hewlett-Packard set in 1957; use only dated facts that sources agree on. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

SOURCES

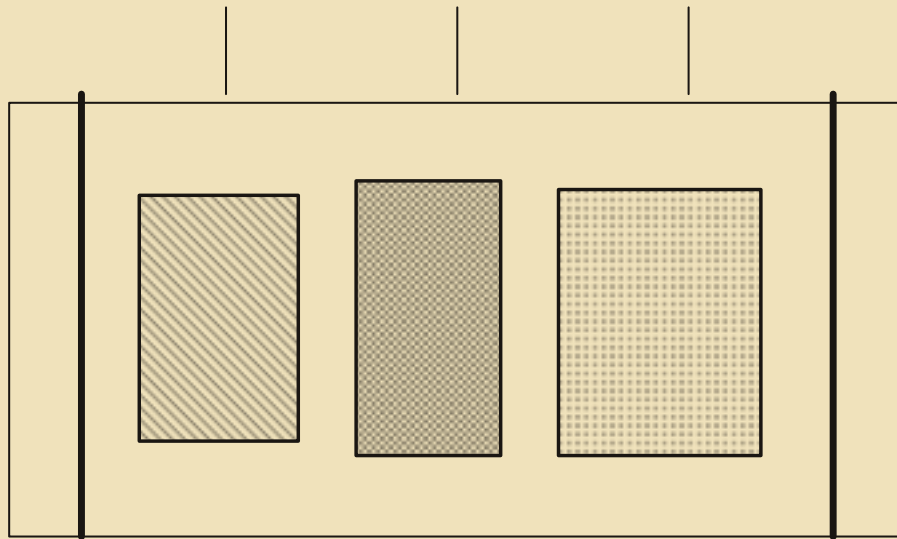
The named works and historical sources in the catalogue entry provide fuller context. The chapter uses brief attribution and avoids long quotations so that the main explanation remains readable.

REVIEW QUESTIONS

06.1 In your own words, what is the central management idea of this chapter?

06.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 06.P1 What fact or condition should be checked before applying the chapter's main rule?



Decision Making

a pair of brass scales on a counting-house table with coins and a quill, 1880s

CHAPTER VII

Decision Making

*What becomes easier when the manager names the problem
precisely?*



*A first-year reader meets the chapter through a concrete
management question. The ideas move from plain language to
precise terms. The running case supplies recorded facts for
application. The historical case provides a dated context.*

* * *

7.1 THE DECISION-MAKING PROCESS

The section begins with the practical question behind the decision-making process.

The section covers steps of the rational decision-making process as connected parts of one management question.

Decision gives this paragraph its precise focus.

Decision. a choice made between two or more alternatives to reach an aim

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Decision making gives this paragraph its precise focus.

Decision making. the process of recognising a problem or chance, finding alternatives and choosing one

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Decision maker gives this paragraph its precise focus.

Decision maker. the person or group that makes the choice

The definition connects the term to a concrete management fact.

Suppose a manager must deal with the decision-making process. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Decision** . a choice made between two or more alternatives to reach an aim. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Decision making** . the process of recognising a problem or chance, finding alternatives and choosing one. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

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At the centre of the discussion is **Decision maker** . the person or group that makes the choice. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Alternative** . one of the possible courses of action from which a choice is made. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

7.2 ELEMENTS AND CONDITIONS OF A DECISION

Suppose a manager must deal with elements and conditions of a decision. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Criterion** . a standard used to judge the alternatives, such as cost or risk. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Certainty** . a condition in which the decision maker knows the result of each alternative. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Alternative gives this paragraph its precise focus.

Alternative. one of the possible courses of action from which a choice is made

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

The Decision-Making Process is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of the decision-making process in plain words.

The section begins with the practical question behind elements and conditions of a decision.

The section covers elements of a decision situation certainty, risk and uncertainty as connected parts of one management question.

Criterion gives this paragraph its precise focus.

Criterion. a standard used to judge the alternatives, such as cost or risk

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Certainty gives this paragraph its precise focus.

Certainty. a condition in which the decision maker knows the result of each alternative

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Risk gives this paragraph its precise focus.

Risk. a condition in which the result of each alternative is not known but its probability is known

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Uncertainty gives this paragraph its precise focus.

Uncertainty. a condition in which neither the result nor the probability of each alternative is known

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Elements and Conditions of a Decision is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of elements and conditions of a decision in plain words.

The section begins with the practical question behind groups and real-world constraints.

The section covers nature of managerial decision making and its limits group decision making: gains and costs other influences on a decision as connected parts of one management question.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Risk** . a condition in which the result of each alternative is not known but its probability is known. Certainty, risk and uncertainty The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Uncertainty** . a condition in which neither the result nor the probability of each alternative is known. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

7.3 GROUPS AND REAL-WORLD CONSTRAINTS

Suppose a manager must deal with groups and real-world constraints. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Rational decision making** . choosing the alternative that best meets set criteria after studying all the alternatives. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Bounded rationality** . the limit on rational choice that arises because people have limited time, information and ability. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Groupthink** . the habit of a close group to agree quickly and to ignore doubts and facts that disturb agreement. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Probability** . a number between 0 and 1 that states how likely an event is. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Rational decision making gives this paragraph its precise focus.

Rational decision making. choosing the alternative that best meets set criteria after studying all the alternatives

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Bounded rationality gives this paragraph its precise focus.

Bounded rationality. the limit on rational choice that arises because people have limited time, information and ability

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Groupthink gives this paragraph its precise focus.

Groupthink. the habit of a close group to agree quickly and to ignore doubts and facts that disturb agreement

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Probability gives this paragraph its precise focus.

Probability. a number between 0 and 1 that states how likely an event is

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Groups and Real-World Constraints is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of groups and real-world constraints in plain words.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

7.4 TOOLS: PROBABILITY, DECISION TREES AND SUPPORT SYSTEMS

The section begins with the practical question behind tools: probability, decision trees and support systems.

Suppose a manager must deal with tools: probability, decision trees and support systems. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The section covers probability and expected value decision trees decision support systems as connected parts of one management question.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

Expected value gives this paragraph its precise focus.

Expected value. the sum of each possible result multiplied by its probability

At the centre of the discussion is **Expected value** . the sum of each possible result multiplied by its probability. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The definition connects the term to a concrete management fact.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Decision tree gives this paragraph its precise focus.

Decision tree. a diagram that shows alternatives, chance events, probabilities and results in branches

At the centre of the discussion is **Decision tree** . a diagram that shows alternatives, chance events, probabilities and results in branches. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The definition connects the term to a concrete management fact.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Decision support system gives this paragraph its precise focus.

Decision support system. a computer-based set of data and tools that helps a manager study a decision

At the centre of the discussion is **Decision support system** . a computer-based set of data and tools that helps a manager study a decision. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The definition connects the term to a concrete management fact.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

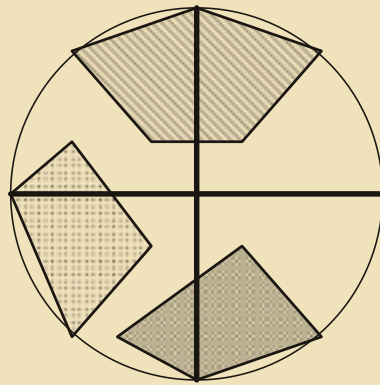
The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Tools: Probability, Decision Trees and Support Systems is easier to understand when the reader moves from the concrete case to the general rule.

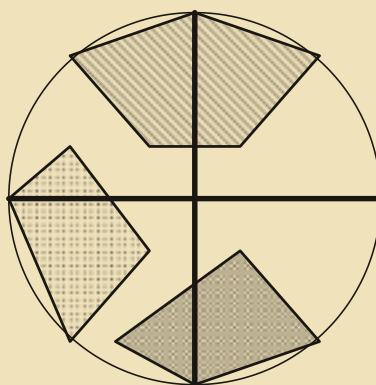
Before moving on, the reader should be able to state the main point of tools: probability, decision trees and support systems in plain words.

The Decision-Making Process is easier to understand when the reader moves from the concrete case to the general rule.



the steps of the rational decision-making proces

FIG. 7.1. *the steps of the rational decision-making process as a flow with a return path*



a decision tree with two options, chance branche

FIG. 7.2. a decision tree with two options, chance branches, probabilities and expected values

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

The chapter joins its definitions, examples and limits into one management framework.

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna. Meeting of 20 January 2026 (95 minutes; the owner and 3 managers). Cash reserve Tk 1,500,000. Problem: sales growth of 10% (Tk 20,460,000) cannot come from walk-in customers alone. Alternatives: A, open a second branch, cost Tk 2,400,000 (Tk 900,000 more than the cash reserve); B, begin online ordering, cost Tk 600,000; C, change nothing. Criteria: cost within the cash reserve; expected value over three years; risk. Demand, with probabilities: branch, strong 0.5 giving extra profit Tk 1,200,000 a year, weak 0.5 giving Tk 200,000 a year; online, strong 0.6 giving Tk 700,000 a year, weak 0.4 giving Tk 150,000 a year. Expected profit a year: A Tk 700,000; B Tk 480,000. Over three years: A Tk 2,100,000, less cost Tk 2,400,000, net Tk -300,000; B Tk 1,440,000, less cost Tk 600,000, net Tk 840,000; C Tk 0. Before the meeting 2 of the 4 favoured the branch; after it all 4 favoured online ordering. Rent Tk 200,000 a month is a certain figure; the 2027 curriculum is an uncertain one. Data came from a sales spreadsheet covering two years only. Decision recorded on 21 January 2026: begin online ordering.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter began with decision making. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

THINK IT THROUGH

07.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

These questions ask for application rather than a memorised phrase.

07.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

IN HISTORY

The chapter's historical case concerns The decision to launch the space shuttle Challenger on 28 January 1986 and the findings of the Rogers Commission (1986); group pressure and the handling of risk. Use only dated facts that sources agree on. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

The history is evidence for a management question, not a replacement for the general rule.

REVIEW QUESTIONS

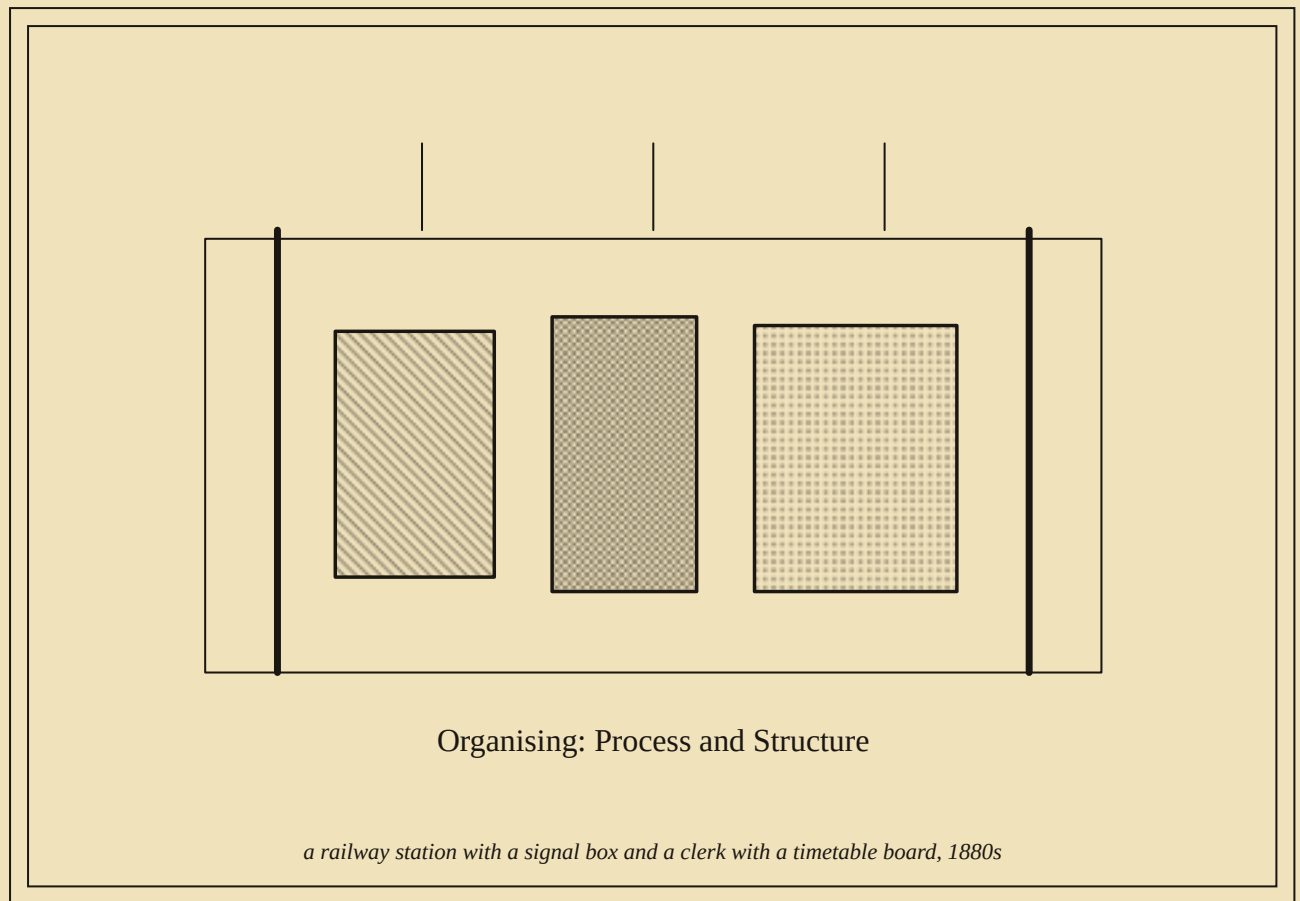
07.1 In your own words, what is the central management idea of this chapter?

Historical evidence needs its original setting before it is applied to a modern organisation.

07.2 Give one concrete example from a small organisation that illustrates the central idea.

The final questions return to the chapter's definitions and applications.

PAUSE AND CHECK 07.P1 What fact or condition should be checked before applying the chapter's main rule?



CHAPTER VIII

Organising: Process and Structure

*What becomes easier when the manager names the problem
precisely?*



*A first-year reader meets the chapter through a concrete
management question. The ideas move from plain language to
precise terms. The running case supplies recorded facts for
application. The historical case provides a dated context.*

* * *

8.1 MEANING, NATURE AND PURPOSE

The section begins with the practical question behind meaning, nature and purpose.

The section covers what organising is nature of organising purposes of organising as connected parts of one management question.

Organising gives this paragraph its precise focus.

Organising. arranging the work, people and resources of an organisation so that plans can be carried out

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Organisation chart gives this paragraph its precise focus.

Organisation chart. a diagram that shows the parts of an organisation, the levels and who reports to whom

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Organisation structure gives this paragraph its precise focus.

Organisation structure. the way in which the tasks, people and lines of reporting of an organisation are arranged

The definition connects the term to a concrete management fact.

Suppose a manager must deal with meaning, nature and purpose. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Organising** . arranging the work, people and resources of an organisation so that plans can be carried out. What organising is The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Organisation chart** . a diagram that shows the parts of an organisation, the levels and who reports to whom. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Organisation structure** . the way in which the tasks, people and lines of reporting of an organisation are arranged. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

8.2 THE ORGANISING PROCESS

Suppose a manager must deal with the organising process. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Formal organisation** . the structure that is officially set by management, with defined tasks and lines of reporting. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Informal organisation** . the network of personal relationships among employees that arises on its own and is not on the chart. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Meaning, Nature and Purpose is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of meaning, nature and purpose in plain words.

The section begins with the practical question behind the organising process.

The section covers steps of the organising process as connected parts of one management question.

Formal organisation gives this paragraph its precise focus.

Formal organisation. the structure that is officially set by management, with defined tasks and lines of reporting

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Informal organisation gives this paragraph its precise focus.

Informal organisation. the network of personal relationships among employees that arises on its own and is not on the chart

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Line organisation gives this paragraph its precise focus.

Line organisation. a structure in which authority passes in one straight line from the top to the bottom

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

The Organising Process is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of the organising process in plain words.

The section begins with the practical question behind formal and informal organisation.

The section covers formal and informal organisation as connected parts of one management question.

Line-and-staff organisation gives this paragraph its precise focus.

Line-and-staff organisation. a structure in which line managers direct the main work and staff specialists advise them

The definition connects the term to a concrete management fact.

At the centre of the discussion is **Line organisation** . a structure in which authority passes in one straight line from the top to the bottom. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

8.3 FORMAL AND INFORMAL ORGANISATION

Suppose a manager must deal with formal and informal organisation. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Line-and-staff organisation** . a structure in which line managers direct the main work and staff specialists advise them. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Organisation design** . the choice of the structure that best fits the aims, size, work and surroundings of an organisation. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Bureaucratic model** . a design with fixed rules, clear levels, written records and promotion by set standards. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

8.4 STRUCTURE AND THE FORCES BEHIND IT

Suppose a manager must deal with structure and the forces behind it. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Organisation design gives this paragraph its precise focus.

Organisation design. the choice of the structure that best fits the aims, size, work and surroundings of an organisation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Bureaucratic model gives this paragraph its precise focus.

Bureaucratic model. a design with fixed rules, clear levels, written records and promotion by set standards

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Formal and Informal Organisation is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of formal and informal organisation in plain words.

The section begins with the practical question behind structure and the forces behind it.

The section covers organisation structure and the organisation chart forces that shape structure as connected parts of one management question.

Behavioural model gives this paragraph its precise focus.

Behavioural model. a design that gives weight to the needs, skills and participation of employees and uses fewer fixed rules

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Situational factor gives this paragraph its precise focus.

Situational factor. a feature of an organisation or its surroundings, such as size or technology, that affects which design fits best

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Structure and the Forces Behind It is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of structure and the forces behind it in plain words.

At the centre of the discussion is **Behavioural model** . a design that gives weight to the needs, skills and participation of employees and uses fewer fixed rules. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Situational factor** . a feature of an organisation or its surroundings, such as size or technology, that affects which design fits best. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

8.5 DESIGN MODELS AND SITUATIONAL FACTORS

The section begins with the practical question behind design models and situational factors.

The section covers bureaucratic and behavioural models of design situational factors in design as connected parts of one management question.

Design Models and Situational Factors is easier to understand when the reader moves from the concrete case to the general rule.

Suppose a manager must deal with design models and situational factors. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

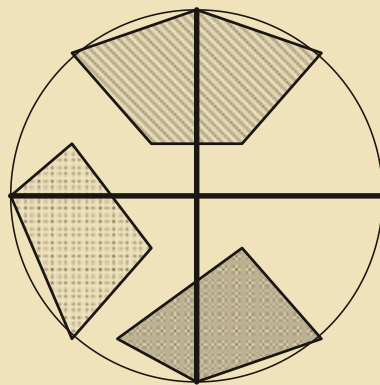
The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on, the reader should be able to state the main point of design models and situational factors in plain words.

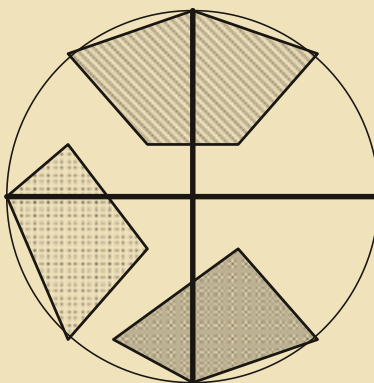
Meaning, Nature and Purpose is easier to understand when the reader moves from the concrete case to the general rule.

The Organising Process is easier to understand when the reader moves from the concrete case to the general rule.



an organisation chart of a small firm showing le

FIG. 8.1. an organisation chart of a small firm showing levels and lines of reporting



formal and informal organisation drawn as two ov

FIG. 8.2. *formal and informal organisation drawn as two overlapping sets of relationships*

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

The chapter joins its definitions, examples and limits into one management framework.

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna. Organising record of 1 March to 1 April 2026, after the decision of 21 January 2026 to begin online ordering. Work listed: buying; selling in the shop; orders and parcels; accounts; online sales. Structure at 1 March 2026 (14 people): owner; three managers (Imran Meghna, purchasing, with 1 assistant; Nasrin Akter, shop floor; Rubel Hossain, accounts, with 1 assistant); four section leaders under Nasrin Akter (school books with 2 assistants; general books with 1; stationery with 1; orders and parcels with none). Rule in force: every purchase order above Tk 20,000 needs the owner's signature. Informal organisation: since 2024 five employees (two section leaders and three assistants) cover one another's shifts by agreement, which is not on the chart. From 1 April 2026 three people join: Farhan Meghna as online manager at Tk 55,000 a month, and two online assistants at Tk 22,000 a month each; extra pay Tk 99,000 a month, Tk 1,188,000 a year; total 17 people. Situational factors recorded: size grew from 14 to 17; a website was added; the 2027 curriculum change is expected. Design in use: mostly bureaucratic (written rules, signatures), with more discretion for section leaders on shelf layout.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter began with organising: process and structure. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

THINK IT THROUGH

08.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

These questions ask for application rather than a memorised phrase.

08.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

IN HISTORY

The chapter's historical case concerns Daniel C. McCallum, general superintendent of the New York and Erie Railroad, and the organisation chart drawn for it in 1855, to deal with long lines and many employees. Use only dated facts that sources agree on. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

The history is evidence for a management question, not a replacement for the general rule.

SOURCES

The named works and historical sources in the catalogue entry provide fuller context. The chapter uses brief attribution and avoids long quotations so that the main explanation remains readable.

Historical evidence needs its original setting before it is applied to a modern organisation.

The chapter keeps its source trail short and tied to the ideas it defines.

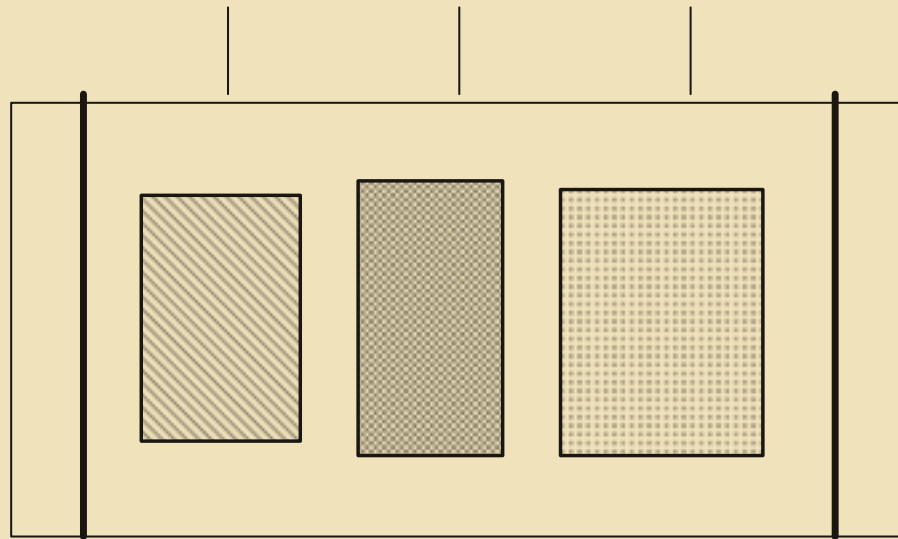
REVIEW QUESTIONS

08.1 In your own words, what is the central management idea of this chapter?

The final questions return to the chapter's definitions and applications.

08.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 08.P1 What fact or condition should be checked before applying the chapter's main rule?



Span, Departments, Authority and Coordination

a lattice-girder bridge over a river with several spans, 1880s

CHAPTER IX

Span, Departments, Authority and Coordination

What becomes easier when the manager names the problem precisely?



A first-year reader meets the chapter through a concrete management question. The ideas move from plain language to precise terms. The running case supplies recorded facts for application. The historical case provides a dated context.

* * *

9.1 SPAN OF MANAGEMENT

The section begins with the practical question behind span of management.

The section covers span of management factors that decide the span as connected parts of one management question.

Span of management gives this paragraph its precise focus.

Span of management. the number of subordinates who report directly to one manager

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Tall structure gives this paragraph its precise focus.

Tall structure. a structure with many levels and a narrow span of management at each level

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Flat structure gives this paragraph its precise focus.

Flat structure. a structure with few levels and a wide span of management at each level

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Span of Management is easier to understand when the reader moves from the concrete case to the general rule.

Suppose a manager must deal with span of management. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Span of management** . the number of subordinates who report directly to one manager. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Tall structure** . a structure with many levels and a narrow span of management at each level. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Flat structure** . a structure with few levels and a wide span of management at each level. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

Before moving on, the reader should be able to state the main point of span of management in plain words.

* * *

9.2 DEPARTMENTALISATION

Suppose a manager must deal with departmentalisation. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The section begins with the practical question behind departmentalisation.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

The section covers departmentalisation as connected parts of one management question.

At the centre of the discussion is **Departmentalisation** . the grouping of jobs into departments by a common feature such as function, product, area or customer. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

Departmentalisation gives this paragraph its precise focus.

Departmentalisation. the grouping of jobs into departments by a common feature such as function, product, area or customer

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The definition connects the term to a concrete management fact.

At the centre of the discussion is **Authority** . the right of a manager to make decisions and to direct others, given by the position held. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Authority gives this paragraph its precise focus.

Authority. the right of a manager to make decisions and to direct others, given by the position held

The definition connects the term to a concrete management fact.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Responsibility gives this paragraph its precise focus.

At the centre of the discussion is **Responsibility** . the duty to carry out the tasks assigned and to answer for the results. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

Responsibility. the duty to carry out the tasks assigned and to answer for the results

The definition connects the term to a concrete management fact.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Departmentalisation is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of departmentalisation in plain words.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

9.3 AUTHORITY, RESPONSIBILITY AND DELEGATION

The section begins with the practical question behind authority, responsibility and delegation.

The section covers authority, responsibility and accountability line, staff and functional authority delegation and its obstacles as connected parts of one management question.

Accountability gives this paragraph its precise focus.

Accountability. the obligation to report on results and to accept the consequences

The definition connects the term to a concrete management fact.

Suppose a manager must deal with authority, responsibility and delegation. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Accountability** . the obligation to report on results and to accept the consequences. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Line authority** . the right to direct the work of subordinates in the main chain of command. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Staff authority** . the right to advise and serve line managers without directing their subordinates. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Line authority gives this paragraph its precise focus.

Line authority. the right to direct the work of subordinates in the main chain of command

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Staff authority gives this paragraph its precise focus.

Staff authority. the right to advise and serve line managers without directing their subordinates

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

9.4 CENTRALISATION AND DECENTRALISATION

Suppose a manager must deal with centralisation and decentralisation. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Functional authority** . the limited right of a specialist to direct others in one matter that falls in his or her field. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Delegation** . giving a subordinate the authority to carry out a task while the manager remains answerable for the result. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Authority, Responsibility and Delegation is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of authority, responsibility and delegation in plain words.

The section begins with the practical question behind centralisation and decentralisation.

The section covers centralisation and decentralisation as connected parts of one management question.

Functional authority gives this paragraph its precise focus.

Functional authority. the limited right of a specialist to direct others in one matter that falls in his or her field

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Delegation gives this paragraph its precise focus.

Delegation. giving a subordinate the authority to carry out a task while the manager remains answerable for the result

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Centralisation gives this paragraph its precise focus.

Centralisation. keeping most decision-making authority at the top of an organisation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Centralisation and Decentralisation is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of centralisation and decentralisation in plain words.

At the centre of the discussion is **Centralisation** . keeping most decision-making authority at the top of an organisation. Centralisation and decentralisation The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

9.5 COORDINATION

The section begins with the practical question behind coordination.

The section covers coordination and why divided work needs its structural and activity coordination as connected parts of one management question.

Decentralisation gives this paragraph its precise focus.

Decentralisation. passing decision-making authority down to lower levels

The definition connects the term to a concrete management fact.

Suppose a manager must deal with coordination. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Decentralisation** . passing decision-making authority down to lower levels. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Coordination** . joining the work of different people and parts so that they act together towards the same aim. Coordination and why divided work needs it The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Coordination gives this paragraph its precise focus.

Coordination. joining the work of different people and parts so that they act together towards the same aim

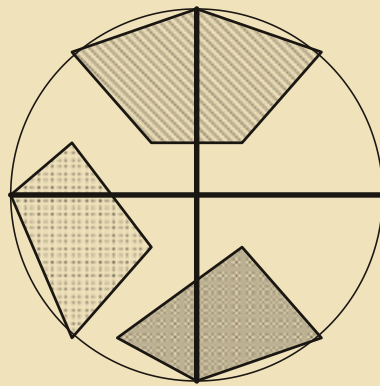
The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Coordination is easier to understand when the reader moves from the concrete case to the general rule.

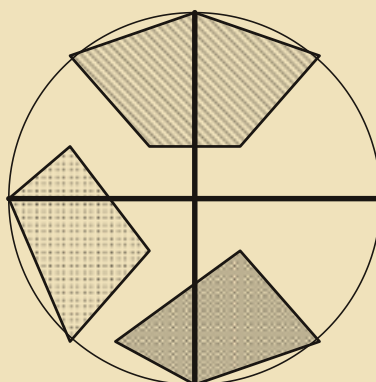
Before moving on, the reader should be able to state the main point of coordination in plain words.

* * *



a tall structure and a flat structure for the same 17 people

FIG. 9.1. a tall structure and a flat structure for the same 17 people, drawn side by side



authority and decision rights shown on a line fr

FIG. 9.2. *authority and decision rights shown on a line from centralised to decentralised*

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

The chapter joins its definitions, examples and limits into one management framework.

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna; structure from 1 April 2026 (17 people): owner; four managers (Imran Meghna, purchasing, 1 assistant; Nasrin Akter, shop floor; Rubel Hossain, accounts, 1 assistant; Farhan Meghna, online, 2 assistants); four section leaders under Nasrin Akter (school books with 2 assistants; general books with 1; stationery with 1; orders and parcels with none). Spans: owner 4; Nasrin Akter 4; Farhan Meghna 2; Imran Meghna 1; Rubel Hossain 1. Grouping: by function (purchasing, shop floor, accounts, online); inside the shop floor, by product (school books, general books, stationery) and by process (orders and parcels). Rubel Hossain also holds functional authority over spending forms in every section. Delegation on 1 April 2026: the owner moves the approval of purchase orders up to Tk 100,000 to Imran Meghna (it was Tk 20,000 before); larger orders still need the owner's signature; the owner remains answerable for purchasing results; Imran reports on orders to the owner each month. Record for April 2026: 18 orders approved by Imran Meghna; 2 above Tk 100,000 went to the owner. Coordination: a Monday meeting of the four managers at 9:30 for 30 minutes; a stock list updated each day by 18:00; online parcels reach the orders and parcels section before 14:00.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter began with span, departments, authority and coordination. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to

concept, from concept to comparison, and from comparison to a supported conclusion.

THINK IT THROUGH

09.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

These questions ask for application rather than a memorised phrase.

09.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

IN HISTORY

The chapter's historical case concerns General Motors in the 1920s: Alfred P. Sloan's organisation study of 1920 and the policy of decentralised operations with central control of finance and policy. Use only dated facts that sources agree on. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

The history is evidence for a management question, not a replacement for the general rule.

REVIEW QUESTIONS

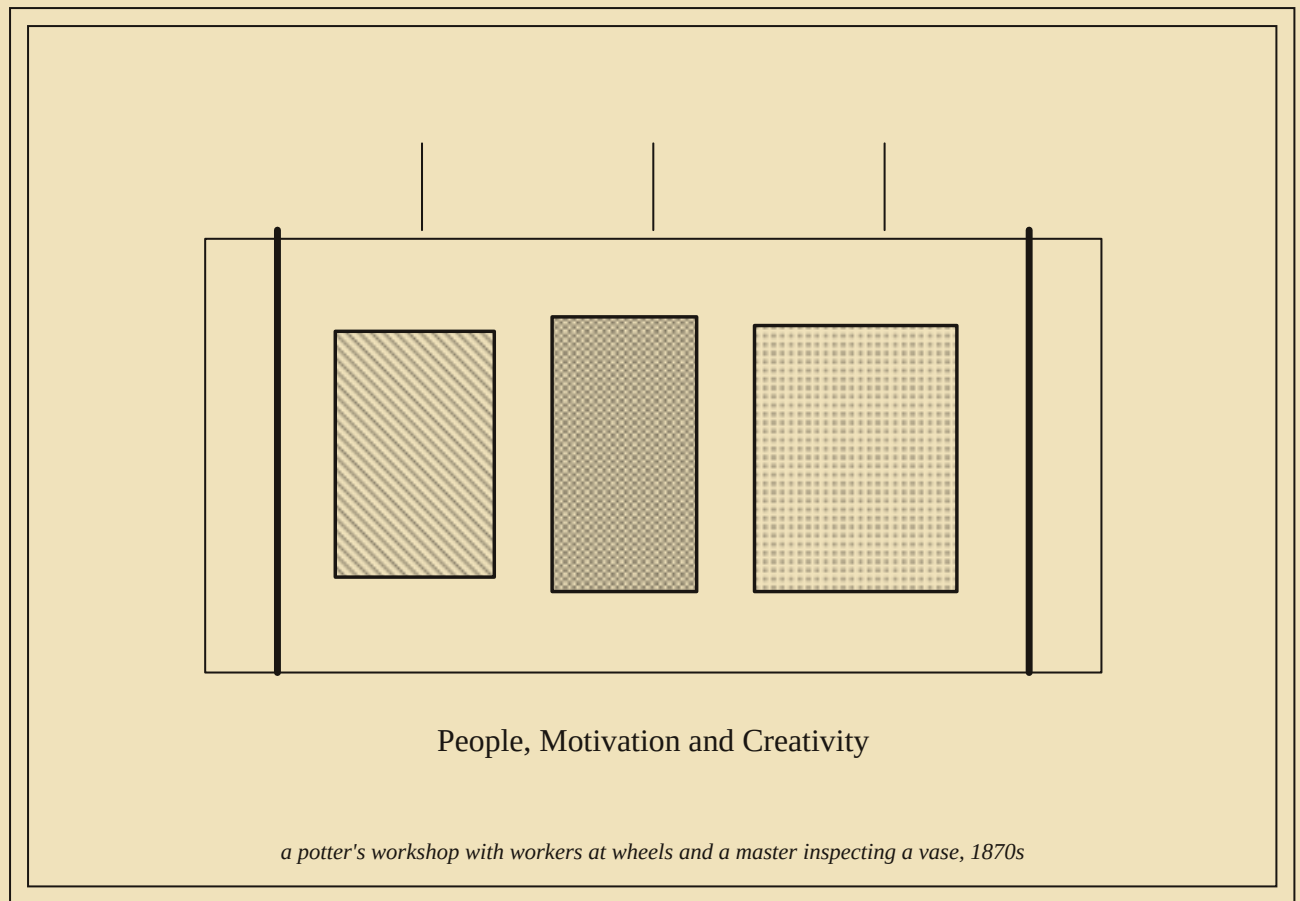
09.1 In your own words, what is the central management idea of this chapter?

Historical evidence needs its original setting before it is applied to a modern organisation.

09.2 Give one concrete example from a small organisation that illustrates the central idea.

The final questions return to the chapter's definitions and applications.

PAUSE AND CHECK 09.P1 What fact or condition should be checked before applying the chapter's main rule?



CHAPTER X

People, Motivation and Creativity

*What becomes easier when the manager names the problem
precisely?*



*A first-year reader meets the chapter through a concrete
management question. The ideas move from plain language to
precise terms. The running case supplies recorded facts for
application. The historical case provides a dated context.*

* * *

10.1 HUMAN FACTORS AND ASSUMPTIONS ABOUT PEOPLE

The section begins with the practical question behind human factors and assumptions about people.

The section covers human factors that affect management theory x and theory y as connected parts of one management question.

Motivation gives this paragraph its precise focus.

Motivation. the inner force that starts, directs and keeps up a person's effort towards a goal

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Need gives this paragraph its precise focus.

Need. a lack of something that a person feels and wants to remove

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Needs-goal model gives this paragraph its precise focus.

Needs-goal model. a model in which an unmet need creates a drive, the drive leads to behaviour, and reaching the goal satisfies the need

The definition connects the term to a concrete management fact.

Suppose a manager must deal with human factors and assumptions about people. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Motivation** . the inner force that starts, directs and keeps up a person's effort towards a goal. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Need** . a lack of something that a person feels and wants to remove. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Needs-goal model** . a model in which an unmet need creates a drive, the drive leads to behaviour, and reaching the goal satisfies the need. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

10.2 MOTIVATION

Suppose a manager must deal with motivation. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Hierarchy of needs**. Maslow's ordering of human needs in five levels, in which a lower level must be reasonably met before the next one matters. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Theory X**. an assumption that people dislike work, avoid responsibility and must be directed and controlled. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Human Factors and Assumptions about People is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of human factors and assumptions about people in plain words.

The section begins with the practical question behind motivation.

The section covers motivation and why managers must understand it the needs-goal model the hierarchy of needs as connected parts of one management question.

Hierarchy of needs gives this paragraph its precise focus.

Hierarchy of needs. Maslow's ordering of human needs in five levels, in which a lower level must be reasonably met before the next one matters

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Theory X gives this paragraph its precise focus.

Theory X. an assumption that people dislike work, avoid responsibility and must be directed and controlled

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Theory Y gives this paragraph its precise focus.

Theory Y. an assumption that people can enjoy work, accept responsibility and direct themselves towards aims they share

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Motivation is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of motivation in plain words.

At the centre of the discussion is **Theory Y** . an assumption that people can enjoy work, accept responsibility and direct themselves towards aims they share. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

10.3 INFORMAL GROUPS AND TEAMS

The section begins with the practical question behind informal groups and teams.

The section covers informal groups and teams as connected parts of one management question.

Informal group gives this paragraph its precise focus.

Informal group. a set of employees who join by personal choice for companionship, help or shared interest, and not by assignment

The definition connects the term to a concrete management fact.

Suppose a manager must deal with informal groups and teams. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Informal group** . a set of employees who join by personal choice for companionship, help or shared interest, and not by assignment. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Team** . a small group of people with joint responsibility and complementary skills who work towards one common result. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Creativity** . the ability to produce ideas that are new and useful. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

10.4 CREATIVITY AND INNOVATION

Suppose a manager must deal with creativity and innovation. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Innovation** . the use of a new idea in a product, a service or a method. Creativity and innovation in an organisation The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Team gives this paragraph its precise focus.

Team. a small group of people with joint responsibility and complementary skills who work towards one common result

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Creativity gives this paragraph its precise focus.

Creativity. the ability to produce ideas that are new and useful

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Informal Groups and Teams is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of informal groups and teams in plain words.

The section begins with the practical question behind creativity and innovation.

The section covers creativity and innovation in an organisation as connected parts of one management question.

Innovation gives this paragraph its precise focus.

Innovation. the use of a new idea in a product, a service or a method

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Creativity and Innovation is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of creativity and innovation in plain words.

Human Factors and Assumptions about People is easier to understand when the reader moves from the concrete case to the general rule.

Motivation is easier to understand when the reader moves from the concrete case to the general rule.

Informal Groups and Teams is easier to understand when the reader moves from the concrete case to the general rule.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

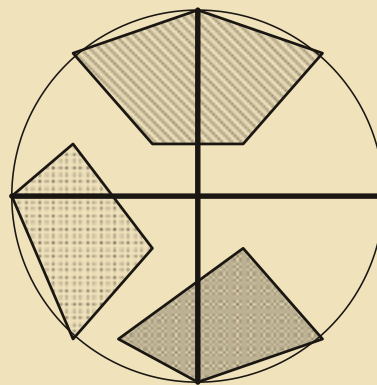
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* * *

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

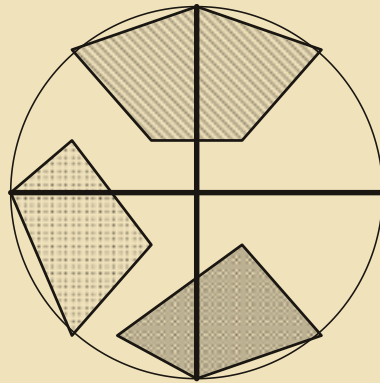
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The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.



the hierarchy of needs as a five-step staircase

FIG. 10.1. the hierarchy of needs as a five-step staircase with an example of each step



the needs-goal model as a loop from need to beha

FIG. 10.2. the needs-goal model as a loop from need to behaviour, goal and satisfaction

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna; 13 employees and the owner; monthly pay Tk 22,000 for an assistant, Tk 32,000 for a section leader, Tk 55,000 for a manager. In 2025 two employees left: a school-books assistant who accepted Tk 25,000 a month elsewhere, and a section leader who gave no promotion path as the reason. Two practices recorded on 16 February 2026: a signing-in sheet every morning (Theory X) and permission for assistants to choose shelf layout inside their section (Theory Y). Needs record, 16 February 2026: pay and a monthly bonus (physical and safety needs); a written contract and a fixed holiday (safety); the lunch group and the Monday meeting (belonging); a monthly mention of the best section (esteem); a place on a training course (self-development). From 1 March 2026 each employee in a section that meets its monthly sales plan receives Tk 1,000. Informal group: five employees (two section leaders and three assistants) have eaten lunch together since 2024 and cover one another's shifts. Creativity: on 12 February 2026 an assistant proposed a Book of the Week shelf; trial from 2 March 2026; the featured titles sold 18 copies a week on average before and 31 after, an increase of 13 copies, 72%.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter began with people, motivation and creativity. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

The chapter joins its definitions, examples and limits into one management framework.

These questions ask for application rather than a memorised phrase.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The history is evidence for a management question, not a replacement for the general rule.

Historical evidence needs its original setting before it is applied to a modern organisation.

The chapter keeps its source trail short and tied to the ideas it defines.

The final questions return to the chapter's definitions and applications.

THINK IT THROUGH

10.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

10.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

IN HISTORY

The chapter's historical case concerns 3M under William L. McKnight: the 1948 rule that technical staff may spend part of their time on their own projects, and the Post-it note that grew from such work from 1974 to 1980. Use only dated facts that sources agree on. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

SOURCES

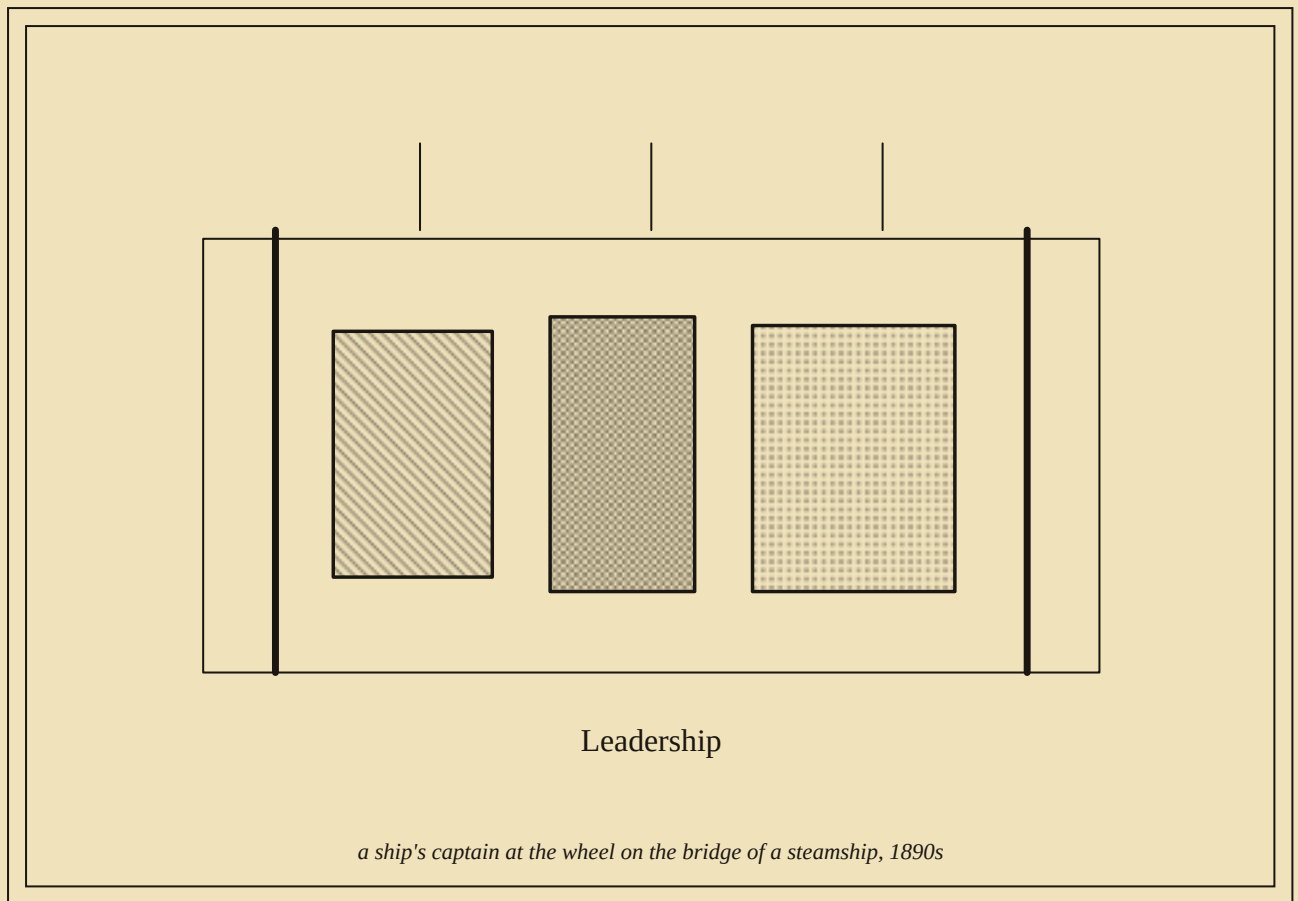
The named works and historical sources in the catalogue entry provide fuller context. The chapter uses brief attribution and avoids long quotations so that the main explanation remains readable.

REVIEW QUESTIONS

10.1 In your own words, what is the central management idea of this chapter?

10.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 10.P1 What fact or condition should be checked before applying the chapter's main rule?



CHAPTER XI

Leadership

What becomes easier when the manager names the problem precisely?



A first-year reader meets the chapter through a concrete management question. The ideas move from plain language to precise terms. The running case supplies recorded facts for application. The historical case provides a dated context.

* * *

11.1 LEADERSHIP AND MANAGEMENT COMPARED

The section begins with the practical question behind leadership and management compared.

The section covers leadership and how it differs from management as connected parts of one management question.

Leadership gives this paragraph its precise focus.

Leadership. the process of influencing people so that they work willingly towards a common aim

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Leader gives this paragraph its precise focus.

Leader. a person who influences others to follow, whether or not he or she holds a managerial position

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Power gives this paragraph its precise focus.

Power. the ability to influence the behaviour of others, whether or not the right to do so is formally given

The definition connects the term to a concrete management fact.

Suppose a manager must deal with leadership and management compared. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Leadership** . the process of influencing people so that they work willingly towards a common aim. Leadership and how it differs from management The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Leader** . a person who influences others to follow, whether or not he or she holds a managerial position. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Power** . the ability to influence the behaviour of others, whether or not the right to do so is formally given. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Legitimate power** . power that comes from the position a person holds in the organisation. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

11.2 POWER AND AUTHORITY BASES

Suppose a manager must deal with power and authority bases. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Reward power** . power that comes from the ability to give things that others value. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Coercive power** . power that comes from the ability to punish or to take away what others value. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Legitimate power gives this paragraph its precise focus.

Legitimate power. power that comes from the position a person holds in the organisation

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Leadership and Management Compared is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of leadership and management compared in plain words.

The section begins with the practical question behind power and authority bases.

The section covers sources of power and how power differs from authority as connected parts of one management question.

Reward power gives this paragraph its precise focus.

Reward power. power that comes from the ability to give things that others value

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Coercive power gives this paragraph its precise focus.

Coercive power. power that comes from the ability to punish or to take away what others value

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Expert power gives this paragraph its precise focus.

Expert power. power that comes from special knowledge or skill that others need

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Referent power gives this paragraph its precise focus.

Referent power. power that comes from the respect and liking that others feel for a person

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Power and Authority Bases is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of power and authority bases in plain words.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Expert power** . power that comes from special knowledge or skill that others need. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Referent power** . power that comes from the respect and liking that others feel for a person. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

11.3 TRAIT, SITUATIONAL AND CONTINUUM APPROACHES

The section begins with the practical question behind trait, situational and continuum approaches.

The section covers trait approach and situational approach styles of leadership the leadership continuum as connected parts of one management question.

Suppose a manager must deal with trait, situational and continuum approaches. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Trait approach** . the view that effective leaders are marked by certain personal qualities. Trait approach and situational approach The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Situational approach** . the view that effective leadership depends on the situation, including the task, the people and the setting. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Leadership style** . the usual pattern of behaviour that a leader shows when influencing others. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Leadership continuum** . a range of leader behaviour from full manager control to full control by the group, within limits. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Trait approach gives this paragraph its precise focus.

Trait approach. the view that effective leaders are marked by certain personal qualities

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Situational approach gives this paragraph its precise focus.

Situational approach. the view that effective leadership depends on the situation, including the task, the people and the setting

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Leadership style gives this paragraph its precise focus.

Leadership style. the usual pattern of behaviour that a leader shows when influencing others

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Leadership continuum gives this paragraph its precise focus.

Leadership continuum. a range of leader behaviour from full manager control to full control by the group, within limits

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Trait, Situational and Continuum Approaches is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of trait, situational and continuum approaches in plain words.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

11.4 STYLES AND MODERN LEADERSHIP

The section begins with the practical question behind styles and modern leadership.

Suppose a manager must deal with styles and modern leadership. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The section covers emotional intelligence of a leader transformational leadership coaching and super leadership as connected parts of one management question.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

Emotional intelligence gives this paragraph its precise focus.

Emotional intelligence. the ability to notice and manage one's own feelings and those of others and to use that awareness in dealing with people

At the centre of the discussion is **Emotional intelligence** . the ability to notice and manage one's own feelings and those of others and to use that awareness in dealing with people. Emotional intelligence of a leader The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The definition connects the term to a concrete management fact.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Transformational leadership gives this paragraph its precise focus.

Transformational leadership. leadership that inspires followers to look beyond their own interest and to work for a shared vision

At the centre of the discussion is **Transformational leadership** . leadership that inspires followers to look beyond their own interest and to work for a shared vision. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The definition connects the term to a concrete management fact.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Coaching gives this paragraph its precise focus.

Coaching. helping a person to improve skills through guidance, practice and feedback

At the centre of the discussion is **Coaching** . helping a person to improve skills through guidance, practice and feedback. Coaching and super leadership The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The definition connects the term to a concrete management fact.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Super leadership** . leadership that helps others to lead themselves. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Super leadership gives this paragraph its precise focus.

Super leadership. leadership that helps others to lead themselves

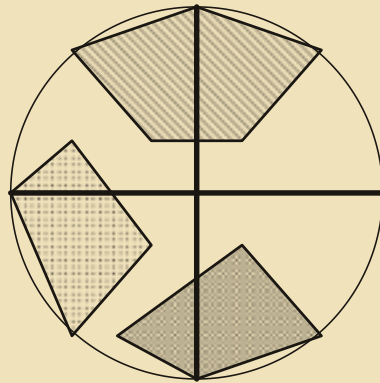
The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Styles and Modern Leadership is easier to understand when the reader moves from the concrete case to the general rule.

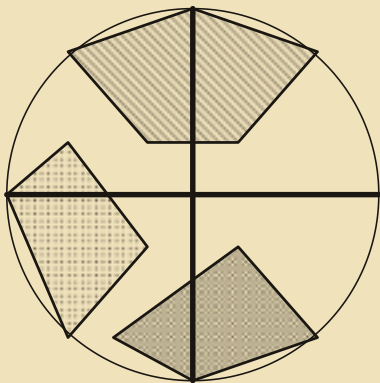
Before moving on, the reader should be able to state the main point of styles and modern leadership in plain words.

* * *



the leadership continuum from a manager who deci

FIG. 11.1. the leadership continuum from a manager who decides alone to a group that decides within limits



five bases of power drawn as five roots of one t

FIG. 11.2. *five bases of power drawn as five roots of one tree, each with an example*

WORKED CASE

The worked case applies several chapter ideas to one documented set of facts.

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna; 13 employees and the owner (later 17). Continuum record: until 2025 the owner decided the opening hours and told the staff. On 5 February 2026 he put the question of closing at 20:00 or 21:00 to all 13 employees; 9 of 13 chose 21:00; the owner kept 21:00 for a trial of three months and set the review for 5 May 2026. Power record: legitimate, the owner's position; reward, the monthly Tk 1,000 section bonus; coercive, one written warning issued in 2025; expert, Imran Meghna's knowledge of publishers and supply; referent, Nasrin Akter, whom shop assistants consult first. Emotional intelligence record: on 24 February 2026 a customer complained about a wrong textbook edition; Nasrin Akter exchanged the book the same day and recorded the cause; no repeat in the next 30 days. Transformational leadership: on 2 March 2026 the owner issued a written aim to all employees: any book in Dhaka within 24 hours. Coaching: from 10 March 2026 Nasrin Akter held one hour a week with each of the 2 newest assistants. Super leadership: from 1 March 2026 the school-books section leader sets the weekly plan of her section without approval.

The case is examined through situation, question, reasoning, conclusion and check.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter joins its definitions, examples and limits into one management framework.

The chapter began with leadership. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

THINK IT THROUGH

11.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

These questions ask for application rather than a memorised phrase.

11.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

IN HISTORY

The chapter's historical case concerns Ernest Shackleton and the Imperial Trans-Antarctic Expedition, 1914 to 1917: the loss of the *Endurance* and the return of all members of the party. Use only dated facts that sources agree on. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

The history is evidence for a management question, not a replacement for the general rule.

SOURCES

The named works and historical sources in the catalogue entry provide fuller context. The chapter uses brief attribution and avoids long quotations so that the main explanation remains readable.

Historical evidence needs its original setting before it is applied to a modern organisation.

The chapter keeps its source trail short and tied to the ideas it defines.

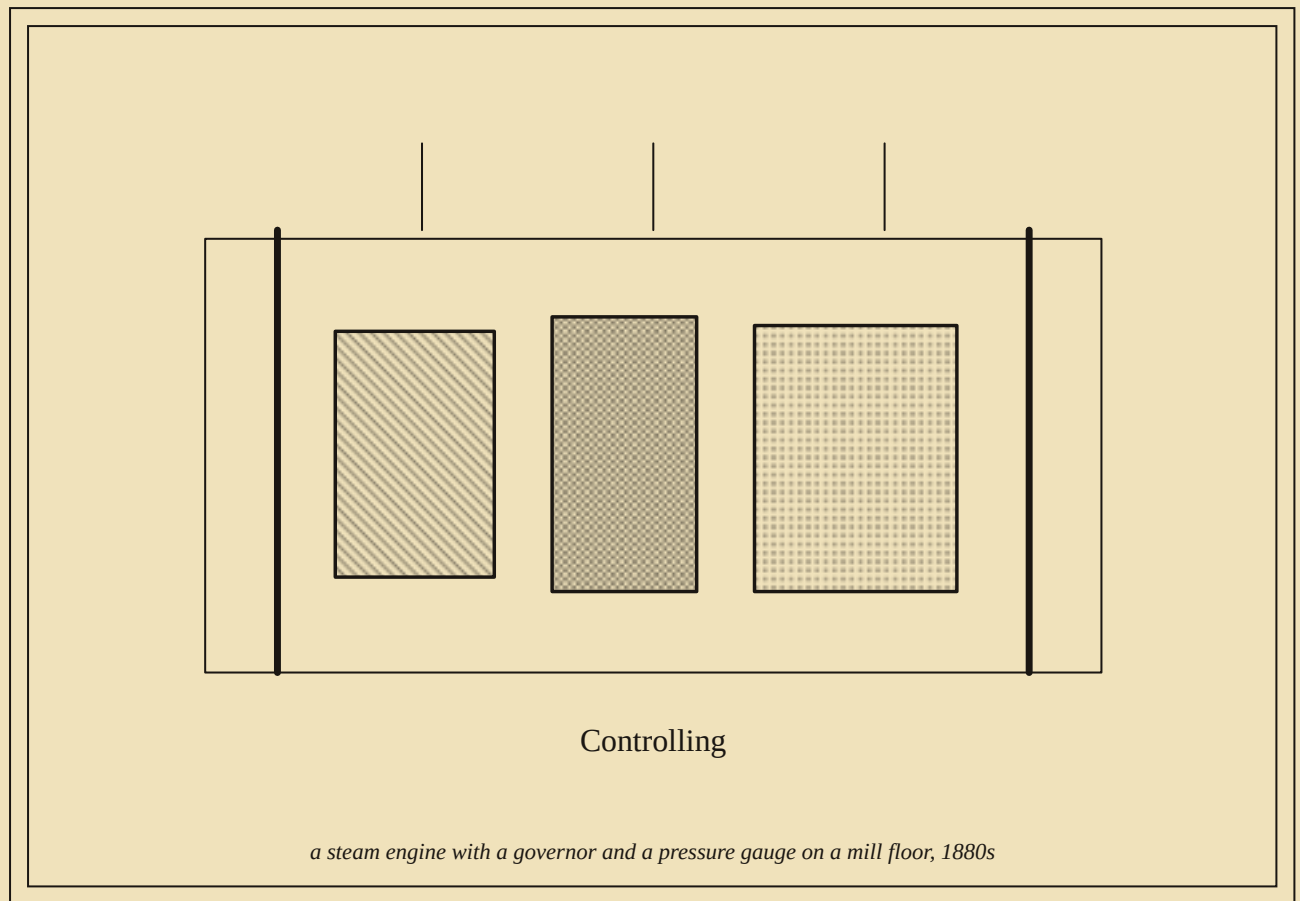
REVIEW QUESTIONS

11.1 In your own words, what is the central management idea of this chapter?

The final questions return to the chapter's definitions and applications.

11.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 11.P1 What fact or condition should be checked before applying the chapter's main rule?



CHAPTER XII

Controlling

What becomes easier when the manager names the problem precisely?



A first-year reader meets the chapter through a concrete management question. The ideas move from plain language to precise terms. The running case supplies recorded facts for application. The historical case provides a dated context.

* * *

12.1 MEANING, NATURE AND PRINCIPLES

The section begins with the practical question behind meaning, nature and principles.

The section covers what controlling is and its nature principles of controlling as connected parts of one management question.

Controlling gives this paragraph its precise focus.

Controlling. measuring results, comparing them with standards and acting to correct differences

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Standard gives this paragraph its precise focus.

Standard. a level of performance that is set in advance and used as the measure of actual results

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Meaning, Nature and Principles is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of meaning, nature and principles in plain words.

Suppose a manager must deal with meaning, nature and principles. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Controlling** . measuring results, comparing them with standards and acting to correct differences. What controlling is and its nature The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Standard** . a level of performance that is set in advance and used as the measure of actual results. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

12.2 THE CONTROL PROCESS

The section begins with the practical question behind the control process.

Suppose a manager must deal with the control process. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the

conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Deviation** . the difference between actual results and the standard. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Corrective action** . a change made to bring results back to the standard or to change the standard itself. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

12.3 TYPES OF CONTROL

Suppose a manager must deal with types of control. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

The section covers steps of the control process as connected parts of one management question.

Deviation gives this paragraph its precise focus.

Deviation. the difference between actual results and the standard

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Corrective action gives this paragraph its precise focus.

Corrective action. a change made to bring results back to the standard or to change the standard itself

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

The Control Process is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of the control process in plain words.

The section begins with the practical question behind types of control.

The section covers feedforward, concurrent and feedback control as connected parts of one management question.

Feedforward control gives this paragraph its precise focus.

Feedforward control. control applied before work begins, to prevent a problem by checking inputs and plans

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Concurrent control gives this paragraph its precise focus.

Concurrent control. control applied while work is being done, to find and correct a problem at once

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Types of Control is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of types of control in plain words.

The section begins with the practical question behind requirements and barriers.

The section covers requirements of effective control barriers to successful control as connected parts of one management question.

Feedback control gives this paragraph its precise focus.

Feedback control. control applied after work is finished, to learn from the results

At the centre of the discussion is **Feedforward control** . control applied before work begins, to prevent a problem by checking inputs and plans. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Concurrent control** . control applied while work is being done, to find and correct a problem at once. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

12.4 REQUIREMENTS AND BARRIERS

Suppose a manager must deal with requirements and barriers. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

At the centre of the discussion is **Feedback control** . control applied after work is finished, to learn from the results. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

At the centre of the discussion is **Monitoring** . the regular watching of performance to see whether work is going as planned. The idea gives the manager a precise vocabulary for the situation. The reader should first identify the recorded fact, then ask why the term fits it, and finally check what the term does not establish. For Meghna and Sons, the documented case provides the setting.

The practical use follows from the definition. A manager should not treat a familiar word as sufficient evidence. The manager identifies the relevant record, compares it with the meaning of the term, and then asks what further information is needed. This keeps the management concept tied to observable work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

12.5 CONTROL AND PLANNING TOGETHER

Suppose a manager must deal with control and planning together. The first task is to identify the facts that describe the situation. The next task is to connect those facts with the management idea being taught. The final task is to consider the conditions under which the idea may not give a complete answer. This order gives a beginner a stable way to read the subject.

The catalogue groups these ideas together because they answer related questions. A reader can therefore ask what the idea is, why it exists, how it works in a real organisation, and where it may fail. The running case supplies the concrete setting; the general explanation supplies the rule. Neither should be read without the other.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

Before moving on. The section has moved from a practical question to a precise rule, then to an application and a limit. The definition should remain connected to the evidence.

* * *

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Monitoring gives this paragraph its precise focus.

Monitoring, the regular watching of performance to see whether work is going as planned

The definition connects the term to a concrete management fact.

The term is useful when its meaning is tested against evidence and its limits are recognised.

Requirements and Barriers is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of requirements and barriers in plain words.

The section begins with the practical question behind control and planning together.

The section covers control and planning together as connected parts of one management question.

Control and Planning Together is easier to understand when the reader moves from the concrete case to the general rule.

Before moving on, the reader should be able to state the main point of control and planning together in plain words.

Meaning, Nature and Principles is easier to understand when the reader moves from the concrete case to the general rule.

The Control Process is easier to understand when the reader moves from the concrete case to the general rule.

Types of Control is easier to understand when the reader moves from the concrete case to the general rule.

Requirements and Barriers is easier to understand when the reader moves from the concrete case to the general rule.

Control and Planning Together is easier to understand when the reader moves from the concrete case to the general rule.

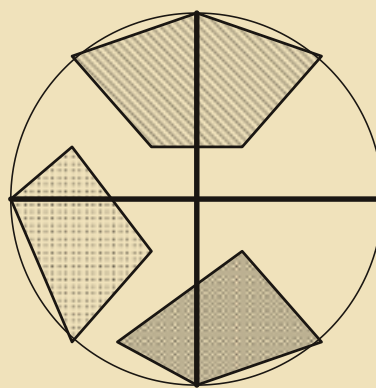
The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

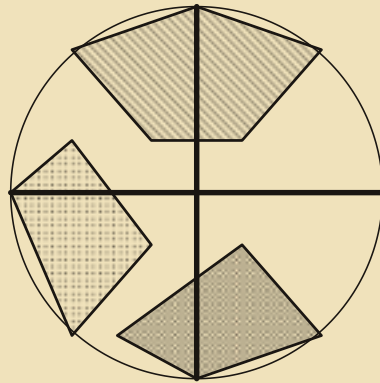
The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.

The practical question is what a manager would notice first. The answer begins with the information already available: people, resources, records, timing, results, or the stated arrangement. The manager then separates the relevant fact from assumptions that have not been established. This is important because a management idea is useful only when it can guide attention to a real feature of work.



the control process as a loop of standard, measu

FIG. 12.1. the control process as a loop of standard, measurement, comparison and corrective action



three types of control placed on one timeline: b

FIG. 12.2. three types of control placed on one timeline: before, during and after the work

WORKED CASE

Case file, illustrative. Case file, illustrative. Meghna and Sons, Dhanmondi, Dhaka; owner Harun Meghna. Sales objective for 2026: Tk 20,460,000. Monthly standard: Tk 1,705,000. Results: January 2026 Tk 1,610,000 (deviation Tk -95,000, -5.6%); February Tk 1,540,000 (Tk -165,000, -9.7%); March Tk 1,790,000 (Tk +85,000, +5.0%). First quarter: standard Tk 5,115,000; actual Tk 4,940,000; deviation Tk -175,000 (-3.4%). Stock write-off standard: Tk 150,000 a year, Tk 12,500 a month. Corrective action: the Book of the Week shelf (from 2 March 2026) was extended from one section to all three product sections on 15 March 2026. Feedforward: on 20 December 2025 the stock of the rush titles was checked against the order list before the January rush. Concurrent: a daily till count at 21:00 by the accounts assistant. Feedback: a monthly review on the 5th of the next month. Barriers recorded: the new daily till count form met resistance in the first two weeks; only sales, and not returns, were measured in January. Link to planning: the first-quarter deviation went to the plan review of 5 April 2026.

Situation. Identify the recorded facts. Question. Select the relevant chapter concepts. Reasoning. Match each fact to the definitions and compare the conditions, alternatives, responsibilities or results that the record provides. Conclusion. State only what the facts support. Check. Identify any conclusion that would require information not contained in the case.

* * *

SUMMARY

The chapter began with controlling. It defined the assigned terms, applied them to the running case, and considered the conditions that limit their use. The main habit is to move from evidence to concept, from concept to comparison, and from comparison to a supported conclusion.

The worked case applies several chapter ideas to one documented set of facts.

The case is examined through situation, question, reasoning, conclusion and check.

The chapter joins its definitions, examples and limits into one management framework.

These questions ask for application rather than a memorised phrase.

Most errors come from confusing a term with an everyday meaning or ignoring the limits of a rule.

The historical case gives a dated setting in which the chapter's ideas can be examined.

The history is evidence for a management question, not a replacement for the general rule.

Historical evidence needs its original setting before it is applied to a modern organisation.

The final questions return to the chapter's definitions and applications.

THINK IT THROUGH

12.T1 A small organisation records a situation that resembles this chapter's main problem. What should the manager identify first?

12.T2 A manager applies a familiar rule without checking its conditions. What should the manager revisit?

WHERE PEOPLE GO WRONG

A reader may use a familiar word without its management meaning, treat one example as universal, or describe a result without connecting it to the relevant process. The correction is to define the term, identify the evidence, apply the principle, and check the conditions that limit it.

IN HISTORY

The chapter's historical case concerns Barings Bank, Singapore and London: the collapse announced on 26 February 1995 after unauthorised trading by one employee and the failure to separate trading from settlement. Use only dated facts that sources agree on. This account is used only to illuminate the management idea. It does not turn the historical event into a model for every organisation. The relevant lesson is the documented connection between the event and the management question raised in this chapter.

The case should also be read with its limits. Historical organisations operated under conditions that may differ from a modern organisation in law, technology, scale, and social expectations. A reader can therefore use the case to understand how an idea developed or appeared in practice while avoiding claims that the same arrangement must work today.

REVIEW QUESTIONS

12.1 In your own words, what is the central management idea of this chapter?

12.2 Give one concrete example from a small organisation that illustrates the central idea.

PAUSE AND CHECK 12.P1 What fact or condition should be checked before applying the chapter's main rule?

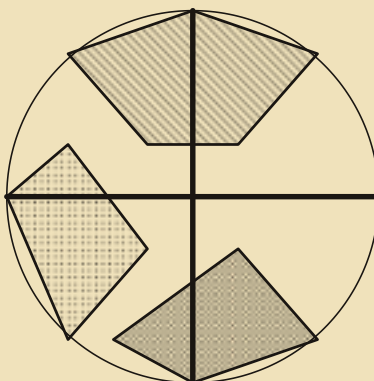
APPENDIX A

Maths You Will Use



This appendix is a compact reference for the arithmetic used throughout the book.

It gives small examples that can be checked by hand. It is a reference, not a lesson.



a simple line graph with labelled axes and one m

FIG. A.1. a simple line graph with labelled axes and one marked point

Percentages and Percentage Change is handled by a short procedure and a check.

Percentage gives the numerical idea its exact meaning.

Percentage. a number written as a part of 100, shown with the sign %

Percentage change gives the numerical idea its exact meaning.

Percentage change. the change between an old and a new value, divided by the old value and written as a percentage

The numerical example shows the operation and the check in one small case.

A.1 PERCENTAGES AND PERCENTAGE CHANGE

Start by writing the numbers exactly as given. State what is being found, choose the operation that matches the question, calculate one line at a time, and check the size and units of the result. For percentage change, compare the change with the old value. For ratios, compare like quantities. For an equation, perform the same operation on both sides. For a graph, read both axes before reading a point.

Percentage means a number written as a part of 100, shown with the sign %. Use the definition before choosing an operation. Example. If the numbers are 100 and 120, write the old value and new value explicitly before calculating.

Percentage change means the change between an old and a new value, divided by the old value and written as a percentage. Use the definition before choosing an operation. Example. If the numbers are 100 and 120, write the old value and new value explicitly before calculating.

Example. If sales rise from Tk 100 to Tk 120, the change is Tk 20 and the percentage change is $(20 \div 100) \times 100 = 20\%$. The check is that Tk 20 is one fifth of Tk 100.

* * *

A.2 RATIOS, AVERAGES AND ROUNDING

Ratios, Averages and Rounding is handled by a short procedure and a check.

Start by writing the numbers exactly as given. State what is being found, choose the operation that matches the question, calculate one line at a time, and check the size and units of the result. For percentage change, compare the change with the old value. For ratios, compare like quantities. For an equation, perform the same operation on both sides. For a graph, read both axes before reading a point.

Ratio means a comparison of two quantities, shown as a:b or as a fraction. Use the definition before choosing an operation. Example. If the numbers are 100 and 120, write the old value and new value explicitly before calculating.

Mean means the sum of a set of values divided by the number of values. Use the definition before choosing an operation. Example. If the numbers are 100 and 120, write the old value and new value explicitly before calculating.

Example. If sales rise from Tk 100 to Tk 120, the change is Tk 20 and the percentage change is $(20 \div 100) \times 100 = 20\%$. The check is that Tk 20 is one fifth of Tk 100.

* * *

A.3 REARRANGING AN EQUATION

Start by writing the numbers exactly as given. State what is being found, choose the operation that matches the question, calculate one line at a time, and check the size and units of the result. For percentage change, compare the change with the old value. For ratios, compare like quantities. For an equation, perform the same operation on both sides. For a graph, read both axes before reading a point.

Rounding means replacing a number with a nearby number that has fewer digits, by a stated rule. Use the definition before choosing an operation. Example. If the numbers are 100 and 120, write the old value and new value explicitly before calculating.

Axis means a labelled line on a graph along which a quantity is measured. Use the definition before choosing an operation. Example. If the numbers are 100 and 120, write the old value and new value explicitly before calculating.

Example. If sales rise from Tk 100 to Tk 120, the change is Tk 20 and the percentage change is $(20 \div 100) \times 100 = 20\%$. The check is that Tk 20 is one fifth of Tk 100.

* * *

A.4 READING A GRAPH

Start by writing the numbers exactly as given. State what is being found, choose the operation that matches the question, calculate one line at a time, and check the size and units of the result. For percentage change, compare the change with the old value. For ratios, compare like quantities. For an equation, perform the same operation on both sides. For a graph, read both axes before reading a point.

Example. If sales rise from Tk 100 to Tk 120, the change is Tk 20 and the percentage change is $(20 \div 100) \times 100 = 20\%$. The check is that Tk 20 is one fifth of Tk 100.

* * *

Ratio gives the numerical idea its exact meaning.

Ratio. a comparison of two quantities, shown as a:b or as a fraction

Mean gives the numerical idea its exact meaning.

Mean. the sum of a set of values divided by the number of values

The numerical example shows the operation and the check in one small case.

Rearranging an Equation is handled by a short procedure and a check.

Rounding gives the numerical idea its exact meaning.

Rounding. replacing a number with a nearby number that has fewer digits, by a stated rule

Axis gives the numerical idea its exact meaning.

Axis. a labelled line on a graph along which a quantity is measured

The numerical example shows the operation and the check in one small case.

Reading a Graph is handled by a short procedure and a check.

The numerical example shows the operation and the check in one small case.

GLOSSARY

Accountability. the obligation to report on results and to accept the consequences The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Administrative management. a view that studies the whole organisation and seeks general principles for managing it The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Alternative. one of the possible courses of action from which a choice is made The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Authority. the right of a manager to make decisions and to direct others, given by the position held The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Axis. a labelled line on a graph along which a quantity is measured (*Appendix A*)

Behavioural approach. the study of how individuals and groups act at work, using methods from psychology and sociology The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Behavioural model. a design that gives weight to the needs, skills and participation of employees and uses fewer fixed rules The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Bounded rationality. the limit on rational choice that arises because people have limited time, information and ability The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Budget. a plan stated in money, or in other numbers, for a period of time The term should be read in the specific management sense established in this chapter. (*Chapter V*)

Bureaucratic model. a design with fixed rules, clear levels, written records and promotion by set standards The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Business ethics. the standards of right and wrong that guide how an organisation and its managers behave The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Centralisation. keeping most decision-making authority at the top of an organisation The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Certainty. a condition in which the decision maker knows the result of each alternative The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Coaching. helping a person to improve skills through guidance, practice and feedback The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Coercive power. power that comes from the ability to punish or to take away what others value The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Conceptual skill. the ability to see the organisation as a whole and to understand how its parts affect one another The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Concurrent control. control applied while work is being done, to find and correct a problem at once The term should be read in the specific management sense established in this chapter. (*Chapter XII*)

Contingency approach. the view that the best way to manage depends on the situation The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Controlling. measuring results, comparing them with standards and acting to correct differences The term should be read in the specific management sense established in this chapter. (*Chapter XII*)

Coordination. joining the work of different people and parts so that they act together towards the same aim The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Corporate social responsibility. the duty of an organisation to act for the good of society as well as for its own gain The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Corrective action. a change made to bring results back to the standard or to change the standard itself The term should be read in the specific management sense established in this chapter. (*Chapter XII*)

Creativity. the ability to produce ideas that are new and useful The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Criterion. a standard used to judge the alternatives, such as cost or risk The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Decentralisation. passing decision-making authority down to lower levels The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Decision. a choice made between two or more alternatives to reach an aim The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Decision maker. the person or group that makes the choice The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Decision making. the process of recognising a problem or chance, finding alternatives and choosing one The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Decision support system. a computer-based set of data and tools that helps a manager study a decision The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Decision tree. a diagram that shows alternatives, chance events, probabilities and results in branches The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Delegation. giving a subordinate the authority to carry out a task while the manager remains answerable for the result The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Departmentalisation. the grouping of jobs into departments by a common feature such as function, product, area or customer The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Deviation. the difference between actual results and the standard The term should be read in the specific management sense established in this chapter. (*Chapter XII*)

Division of work. the splitting of a large task into smaller tasks, each done by one person or group The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Economic force. a condition of money, prices, income and trade that affects an organisation The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Effectiveness. the degree to which an organisation reaches the aims it has set The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Efficiency. the use of as few resources as possible to obtain a given result The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Emotional intelligence. the ability to notice and manage one's own feelings and those of others and to use that awareness in dealing with people The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Employee. a person who is paid by an organisation to do work for it The term should be read in the specific management sense established in this chapter. (*Chapter I*)

Environment. all the forces, inside and outside an organisation, that can affect how it works and what it achieves The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Environmental scanning. the steady collection and study of information about outside forces so that changes are seen early The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Expected value. the sum of each possible result multiplied by its probability The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Expert power. power that comes from special knowledge or skill that others need The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

External environment. the forces outside an organisation that affect it and that a manager cannot control directly The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Feedback control. control applied after work is finished, to learn from the results The term should be read in the specific management sense established in this chapter. (*Chapter XII*)

Feedforward control. control applied before work begins, to prevent a problem by checking inputs and plans The term should be read in the specific management sense established in this chapter. (*Chapter XII*)

First-line manager. a manager at the lowest level, who directs employees who do the daily work and does not manage other managers The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Flat structure. a structure with few levels and a wide span of management at each level The term should

be read in the specific management sense established in this chapter. (*Chapter IX*)

Formal organisation. the structure that is officially set by management, with defined tasks and lines of reporting The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Functional authority. the limited right of a specialist to direct others in one matter that falls in his or her field The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Functional manager. a manager responsible for one kind of work, such as buying or accounts, across the organisation The term should be read in the specific management sense established in this chapter. (*Chapter II*)

General manager. a manager responsible for all the kinds of work of a unit, such as a branch The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Groupthink. the habit of a close group to agree quickly and to ignore doubts and facts that disturb agreement The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Hierarchy of needs. Maslow's ordering of human needs in five levels, in which a lower level must be reasonably met before the next one matters The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Hierarchy of objectives. the arrangement of objectives from the whole organisation down to departments and individuals, each supporting the one above The term should be read in the specific management sense established in this chapter. (*Chapter VI*)

Human relations approach. a view that output depends on the needs, feelings and groups of employees as well as on methods The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Human skill. the ability to work with other people, understand them and get good work from them The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Informal group. a set of employees who join by personal choice for companionship, help or shared interest, and not by assignment The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Informal organisation. the network of personal relationships among employees that arises on its own and is not on the chart The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Innovation. the use of a new idea in a product, a service or a method The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Internal environment. the people, structure, rules and resources inside an organisation that a manager can change directly The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Key area. one of the main parts of an organisation where results must be set because they decide its success The term should be read in the specific management sense established in this chapter. (*Chapter VI*)

Leader. a person who influences others to follow, whether or not he or she holds a managerial position The term should

be read in the specific management sense established in this chapter. (*Chapter XI*)

Leadership. the process of influencing people so that they work willingly towards a common aim The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Leadership continuum. a range of leader behaviour from full manager control to full control by the group, within limits The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Leadership style. the usual pattern of behaviour that a leader shows when influencing others The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Legitimate power. power that comes from the position a person holds in the organisation The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Line authority. the right to direct the work of subordinates in the main chain of command The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Line organisation. a structure in which authority passes in one straight line from the top to the bottom The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Line-and-staff organisation. a structure in which line managers direct the main work and staff specialists advise them The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Management. the work of using the resources of an organisation to reach its aims, through four connected functions The term should be read in the specific management sense established in this chapter. (*Chapter I*)

Management by objectives. a way of managing in which managers and employees agree objectives together and judge performance against them The term should be read in the specific management sense established in this chapter. (*Chapter VI*)

Management function. one main kind of managerial work; there are four, and each has its own chapter in this book The term should be read in the specific management sense established in this chapter. (*Chapter I*)

Management process. the continuing cycle in which a manager performs the four management functions again and again The term should be read in the specific management sense established in this chapter. (*Chapter I*)

Management science approach. the use of mathematical models and measured data to solve managerial problems The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Manager. a person who is responsible for the work of other people and for the results of one part of an organisation The term should be read in the specific management sense established in this chapter. (*Chapter I*)

Mean. the sum of a set of values divided by the number of values (*Appendix A*)

Middle manager. a manager between top managers and first-line managers, who turns the direction into plans for one part of the organisation The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Monitoring. the regular watching of performance to see whether work is going as planned The term should be read in the specific management sense established in this chapter. (*Chapter XII*)

Motivation. the inner force that starts, directs and keeps up a person's effort towards a goal The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Need. a lack of something that a person feels and wants to remove The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Needs-goal model. a model in which an unmet need creates a drive, the drive leads to behaviour, and reaching the goal satisfies the need The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Objective. a result, stated directly and with a time limit, that an organisation or person aims to reach The term should be read in the specific management sense established in this chapter. (*Chapter VI*)

Organisation. a group of people who work together in a planned way to reach an aim that one person could not reach alone The term should be read in the specific management sense established in this chapter. (*Chapter I*)

Organisation chart. a diagram that shows the parts of an organisation, the levels and who reports to whom The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Organisation design. the choice of the structure that best fits the aims, size, work and surroundings of an organisation The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Organisation structure. the way in which the tasks, people and lines of reporting of an organisation are arranged The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Organising. arranging the work, people and resources of an organisation so that plans can be carried out The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Participation. the sharing of a decision between a manager and the employees who must carry it out The term should be read in the specific management sense established in this chapter. (*Chapter VI*)

Percentage. a number written as a part of 100, shown with the sign % (*Appendix A*)

Percentage change. the change between an old and a new value, divided by the old value and written as a percentage (*Appendix A*)

Performance review. a meeting held at a set time to compare results with objectives and to agree what to do next The term should be read in the specific management sense established in this chapter. (*Chapter VI*)

Plan. a written or agreed description of what is to be done, by whom, by when and with what resources The term should be read in the specific management sense established in this chapter. (*Chapter V*)

Planning. choosing in advance what the organisation will do and how it will do it The term should be read in the specific management sense established in this chapter. (*Chapter V*)

Planning premise. an assumption about the future conditions under which a plan will be carried out The term should

be read in the specific management sense established in this chapter. (*Chapter V*)

Policy. a standing plan that gives a general guide for decisions without fixing the exact action The term should be read in the specific management sense established in this chapter. (*Chapter V*)

Political and legal force. a government decision, law or rule that affects what an organisation may or must do The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Power. the ability to influence the behaviour of others, whether or not the right to do so is formally given The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Principle of management. a general guide to good managing, which is tested by use and is not a law of nature The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Probability. a number between 0 and 1 that states how likely an event is The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Procedure. a standing plan that sets out the steps to be followed for a recurring task, in order The term should be read in the specific management sense established in this chapter. (*Chapter V*)

Productivity. the amount of output produced for a given amount of input, such as sales for each employee The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Profession. an occupation that requires long study, follows a code of conduct and can be entered only by meeting set standards The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Programme. a single-use plan that sets out the steps, order, timing and resources for a set of related tasks The term should be read in the specific management sense established in this chapter. (*Chapter V*)

Ratio. a comparison of two quantities, shown as a:b or as a fraction (*Appendix A*)

Rational decision making. choosing the alternative that best meets set criteria after studying all the alternatives The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Referent power. power that comes from the respect and liking that others feel for a person The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Resource. anything an organisation uses to do its work, such as people, money, materials, premises and information The term should be read in the specific management sense established in this chapter. (*Chapter I*)

Responsibility. the duty to carry out the tasks assigned and to answer for the results The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Reward power. power that comes from the ability to give things that others value The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Risk. a condition in which the result of each alternative is not known but its probability is known The term should

be read in the specific management sense established in this chapter. (*Chapter VII*)

Rounding. replacing a number with a nearby number that has fewer digits, by a stated rule (*Appendix A*)

Rule. a standing plan that requires or forbids one specific action, with no choice The term should be read in the specific management sense established in this chapter. (*Chapter V*)

Scalar chain. the line of authority from the top of an organisation down to the lowest level The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Scientific management. a method that studies each task by measurement, finds the best way to do it and trains employees in that way The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Single-use plan. a plan made for one occasion or project that is not used again in the same form The term should be read in the specific management sense established in this chapter. (*Chapter V*)

Situational approach. the view that effective leadership depends on the situation, including the task, the people and the setting The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Situational factor. a feature of an organisation or its surroundings, such as size or technology, that affects which design fits best The term should be read in the specific management sense established in this chapter. (*Chapter VIII*)

Social force. a change in the habits, values, numbers or beliefs of people that affects an organisation The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Span of management. the number of subordinates who report directly to one manager The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Staff authority. the right to advise and serve line managers without directing their subordinates The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Stakeholder. a person or group affected by what an organisation does, such as owners, employees, customers and neighbours The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Standard. a level of performance that is set in advance and used as the measure of actual results The term should be read in the specific management sense established in this chapter. (*Chapter XII*)

Standing plan. a plan made once and used again and again for situations that recur The term should be read in the specific management sense established in this chapter. (*Chapter V*)

Super leadership. leadership that helps others to lead themselves The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Sustainability. the use of resources in a way that does not harm the ability of later generations to meet their needs The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

System. a set of connected parts that work together and receive inputs from, and give outputs to, their surroundings The term should

be read in the specific management sense established in this chapter. (*Chapter III*)

Tall structure. a structure with many levels and a narrow span of management at each level The term should be read in the specific management sense established in this chapter. (*Chapter IX*)

Team. a small group of people with joint responsibility and complementary skills who work towards one common result The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Technical skill. the ability to use the methods, tools and knowledge of a particular kind of work The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Technological force. a new tool, machine or method that changes how work is done or what is sold The term should be read in the specific management sense established in this chapter. (*Chapter IV*)

Theory X. an assumption that people dislike work, avoid responsibility and must be directed and controlled The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Theory Y. an assumption that people can enjoy work, accept responsibility and direct themselves towards aims they share The term should be read in the specific management sense established in this chapter. (*Chapter X*)

Time study. the careful timing of each step of a task to find out how long the work should take The term should be read in the specific management sense established in this chapter. (*Chapter III*)

Top manager. a manager at the highest level, who sets the direction and is responsible for the whole organisation The term should be read in the specific management sense established in this chapter. (*Chapter II*)

Trait approach. the view that effective leaders are marked by certain personal qualities The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Transformational leadership. leadership that inspires followers to look beyond their own interest and to work for a shared vision The term should be read in the specific management sense established in this chapter. (*Chapter XI*)

Uncertainty. a condition in which neither the result nor the probability of each alternative is known The term should be read in the specific management sense established in this chapter. (*Chapter VII*)

Unity of command. the rule that each employee receives orders from one manager only The term should be read in the specific management sense established in this chapter. (*Chapter III*)

ANSWERS TO QUESTIONS

CHAPTER I · WHAT MANAGEMENT IS

01.t1 Identify the concrete facts first, then name the management concept that matches them.

01.t2 Revisit the definition and the conditions that limit the rule before applying it.

01.1 The central idea is the management principle developed across the chapter's sections.

01.2 Any concrete example is suitable when it accurately applies the chapter's definition.

01.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER II · MANAGERS: LEVELS, SKILLS AND STANDING

02.t1 Identify the concrete facts first, then name the management concept that matches them.

02.t2 Revisit the definition and the conditions that limit the rule before applying it.

02.1 The central idea is the management principle developed across the chapter's sections.

02.2 Any concrete example is suitable when it accurately applies the chapter's definition.

02.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER III · HOW MANAGEMENT THOUGHT DEVELOPED

03.t1 Identify the concrete facts first, then name the management concept that matches them.

03.t2 Revisit the definition and the conditions that limit the rule before applying it.

03.1 The central idea is the management principle developed across the chapter's sections.

03.2 Any concrete example is suitable when it accurately applies the chapter's definition.

03.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER IV · ENVIRONMENT, ETHICS AND SOCIAL RESPONSIBILITY

04.t1 Identify the concrete facts first, then name the management concept that matches them.

04.t2 Revisit the definition and the conditions that limit the rule before applying it.

04.1 The central idea is the management principle developed across the chapter's sections.

04.2 Any concrete example is suitable when it accurately applies the chapter's definition.

04.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER V · PLANNING

05.t1 Identify the concrete facts first, then name the management concept that matches them.

05.t2 Revisit the definition and the conditions that limit the rule before applying it.

05.1 The central idea is the management principle developed across the chapter's sections.

05.2 Any concrete example is suitable when it accurately applies the chapter's definition.

05.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER VI · OBJECTIVES AND MANAGEMENT BY OBJECTIVES

06.t1 Identify the concrete facts first, then name the management concept that matches them.

06.t2 Revisit the definition and the conditions that limit the rule before applying it.

06.1 The central idea is the management principle developed across the chapter's sections.

06.2 Any concrete example is suitable when it accurately applies the chapter's definition.

06.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER VII · DECISION MAKING

07.t1 Identify the concrete facts first, then name the management concept that matches them.

07.t2 Revisit the definition and the conditions that limit the rule before applying it.

07.1 The central idea is the management principle developed across the chapter's sections.

07.2 Any concrete example is suitable when it accurately applies the chapter's definition.

07.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER VIII · ORGANISING: PROCESS AND STRUCTURE

08.t1 Identify the concrete facts first, then name the management concept that matches them.

08.t2 Revisit the definition and the conditions that limit the rule before applying it.

08.1 The central idea is the management principle developed across the chapter's sections.

08.2 Any concrete example is suitable when it accurately applies the chapter's definition.

08.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER IX · SPAN, DEPARTMENTS, AUTHORITY AND COORDINATION

09.t1 Identify the concrete facts first, then name the management concept that matches them.

09.t2 Revisit the definition and the conditions that limit the rule before applying it.

09.1 The central idea is the management principle developed across the chapter's sections.

09.2 Any concrete example is suitable when it accurately applies the chapter's definition.

09.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER X · PEOPLE, MOTIVATION AND CREATIVITY

10.t1 Identify the concrete facts first, then name the management concept that matches them.

10.t2 Revisit the definition and the conditions that limit the rule before applying it.

10.1 The central idea is the management principle developed across the chapter's sections.

10.2 Any concrete example is suitable when it accurately applies the chapter's definition.

10.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER XI · LEADERSHIP

11.t1 Identify the concrete facts first, then name the management concept that matches them.

11.t2 Revisit the definition and the conditions that limit the rule before applying it.

11.1 The central idea is the management principle developed across the chapter's sections.

11.2 Any concrete example is suitable when it accurately applies the chapter's definition.

11.p1 Check the evidence and the relevant conditions before applying the rule.

CHAPTER XII · CONTROLLING

12.t1 Identify the concrete facts first, then name the management concept that matches them.

12.t2 Revisit the definition and the conditions that limit the rule before applying it.

12.1 The central idea is the management principle developed across the chapter's sections.

12.2 Any concrete example is suitable when it accurately applies the chapter's definition.

12.p1 Check the evidence and the relevant conditions before applying the rule.

FURTHER READING

Controlling background and the historical source named in the chapter entry

Decision Making background and the historical source named in the chapter entry

Environment, Ethics and Social Responsibility background and the historical source named in the chapter entry

How Management Thought Developed background and the historical source named in the chapter entry

Leadership background and the historical source named in the chapter entry

Managers: Levels, Skills and Standing background and the historical source named in the chapter entry

Objectives and Management by Objectives background and the historical source named in the chapter entry

Organising: Process and Structure background and the historical source named in the chapter entry

People, Motivation and Creativity background and the historical source named in the chapter entry

Planning background and the historical source named in the chapter entry

Span, Departments, Authority and Coordination background and the historical source named in the chapter entry

What Management Is background and the historical source named in the chapter entry

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